USA: Pushing Back Fed Rate Hike on Lower Core PCE Inflation; Q2 GDP Revised Up to +2.2%; Trade Deficit Widens More Than Expected;

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BOTTOM LINE: The core PCE price index rose 0.25% in August, somewhat below expectations, and the year-over-year rate now stands at 3.01%, well below expectations. The downward revision to year-over-year core PCE growth resulting from the methodological changes was larger than we expected and mostly reflected a larger revision to the portfolio management component. Based on today's inflation report, we now expect 3.0% growth for core PCE on a Q4/Q4 basis, well below the median FOMC participant's forecast of 3.4%. Coupled with comments from New York Fed President John Williams yesterday, we now think that an October hike is unlikely. We are pushing back the second hike in our forecast to December, and we see a strong chance that the FOMC will ultimately conclude that additional rate hikes are unnecessary. Real GDP was revised up by 0.7pp to +2.2% in its third Q2 release (quarter-over-quarter annualized), largely reflecting upward revisions to consumption and investment growth. The annual revisions to the national accounts were released today. Real GDP growth was revised up by 0.4pp to +2.5% in 2026Q1 but revisions to prior years were modest. The savings rate was revised up significantly and stands at 4.1% in August. The goods trade deficit widened by more than expected in August. The details of the personal income and spending report were firmer than our previous assumptions, while the details of the Advance Economic Indicators report were on net weaker: we lowered our Q3 GDP tracking estimate by 0.1pp to +3.3% (quarter-over-quarter annualized).

US MAP:

Personal spending 0 (1, 0)

ADP 0 (3, 0)

KEY NUMBERS:

Core PCE price index +0.25% (MoM) for August vs. GS +0.27%, median forecast +0.3%, prior revised +0.13%

Core PCE price index +3.01% (YoY) for August vs. GS +3.17%, median forecast +3.3%, prior revised +2.98%

PCE price index +0.31% (MoM) for August vs. GS +0.33%, median forecast +0.3%, prior revised +0.05%

PCE price index +3.42% (YoY) for August vs. GS +3.58%, median forecast +3.7%, prior revised +3.36%

GDP (third estimate) +2.2% (qoq ar) for Q2 vs. GS +1.5%, median forecast +1.5%, prior revised +2.5%

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Personal consumption (third estimate) +3.8% (qoq ar) for Q2 vs. GS +3.4%, median forecast +3.4%, prior revised +0.7%

Personal income +0.2% for August vs. GS +0.5%, median forecast +0.5%, prior revised +0.3%

Personal spending +0.9% for August vs. GS +0.8%, median forecast +0.9%, prior revised +0.1%

Advance goods trade balance -$132.6bn for August vs. GS -$116.0bn, median forecast -$115.3bn, prior revised -$118.9bn

ADP employment +90k for September vs. GS +75k, median forecast +75k, prior revised +36k

MAIN POINTS:

1. The core PCE index increased +0.25% in August, somewhat below expectations, and the year-over-year rate increased 3.01%. We estimate that the Dallas Fed's trimmed mean PCE measure increased 0.16% month over month and 2.20% year over year.

2. Year-over-year core PCE was revised downward 0.36pp in July to 2.98%, primarily reflecting the methodological revisions to the calculation of the portfolio management (-0.23pp), computer accessories and software (-0.11pp), and legal services (+0.01pp) components of PCE. These downward revisions were larger than we expected, mostly reflecting a larger revision to the portfolio management component than we expected.

3. Today's inflation report, especially the downward revisions resulting from the methodological changes, imply that core PCE inflation is likely to substantially undershoot the median FOMC participant's forecast of 3.4% for 2026 on a Q4/Q4 basis. We now expect a 3.0% increase for core PCE in 2026 on a Q4/Q4 basis. Coupled with comments from New York Fed President John Williams yesterday that "with the policy action we took at our September meeting, there is no need for urgency, and we have time to gather more information," we now think that an October hike is unlikely. We are pushing back the second hike in our forecast to December, and we see a strong chance that the FOMC will ultimately conclude that additional rate hikes are unnecessary.

4. Real GDP was revised up by 0.7pp to +2.2% in Q2 (quarter-over-quarter annualized), largely reflecting upward revisions to consumption (+0.4pp to +3.8%) and investment (+1.9pp to +4.6%) growth. The strength in consumer spending in Q2 likely continued to reflect the boost to consumer cashflow from larger-than-usual tax refunds, but we continue to expect consumer spending growth to slow somewhat in 2026Q4 as the fiscal support fades and the headwind from higher energy prices remains. Stronger investment growth reflected an upward revision to private fixed investment (+0.5pp to +9.0%), driven by data center investment in the nonresidential structures category (+1.9pp to +0.1%), and an upward revision to the contribution from inventories (+0.2pp to -0.5pp).

5. Reflecting today's annual revisions to the national accounts, real GDP was revised up by 0.4pp to +2.5% in Q1 (quarter-over-quarter annualized), largely reflecting upward revisions to the contributions from consumption and exports. Revisions for prior years were modest: real GDP growth on a Q4/Q4 basis was unrevised for 2025 (+2.0%) and 2023 (+3.4%), and slightly revised down for 2024 (-0.2pp to +2.4%) and up for 2022

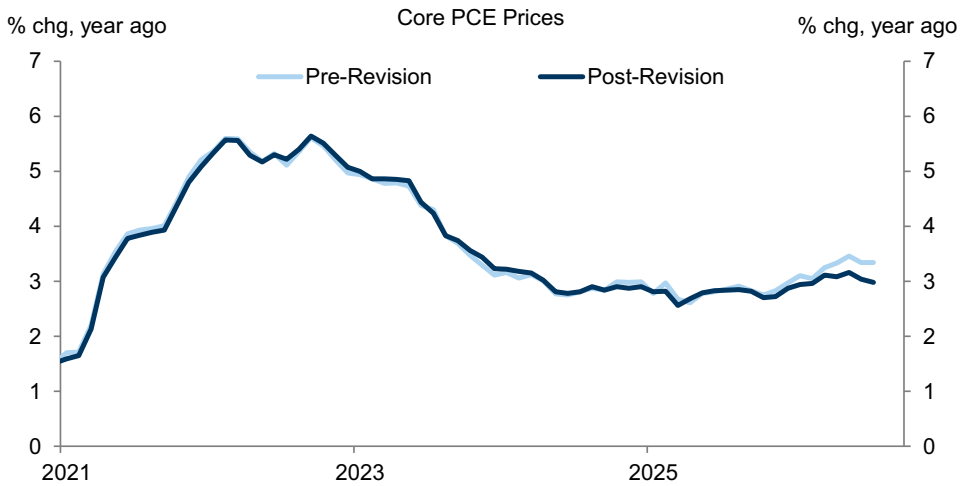
(+0.1pp to +1.3%).

6. Personal income increased 0.2% in August, below expectations. Year-over-year disposable personal income growth reached 4.8% in August. Personal spending rose 0.9% in August, in line with consensus expectations. The savings rate decreased 0.5pp to 4.1% in August, after a large 1.6pp upward revision to the savings rate last month driven by an upward revision to the level of disposable personal income (+1.2pp contribution) and a downward revision to personal spending as a share of DPI (+0.4pp).

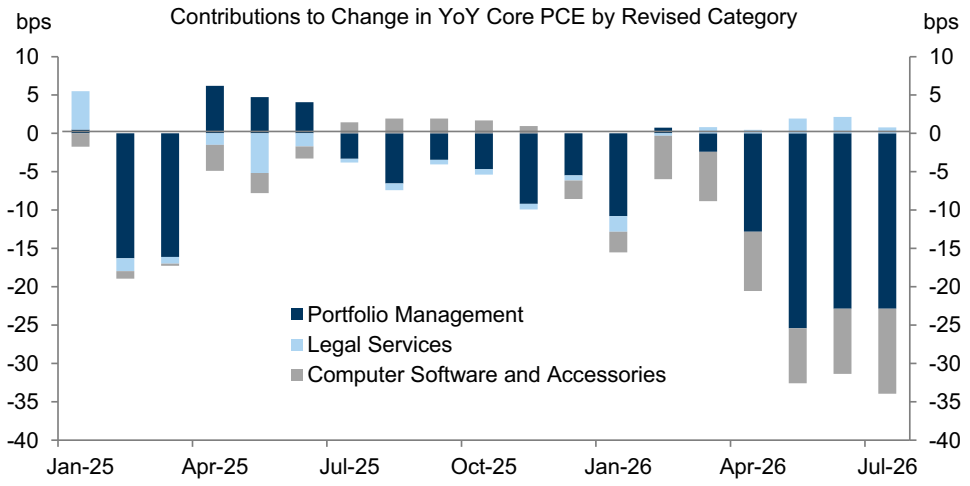
7. According to the Advance Economic Indicators Report, the goods trade deficit widened by $13.7bn to $132.6bn (seasonally adjusted) in August, well above expectations. Goods exports increased by $3.7bn to $203.4bn, largely driven by an increase in industrial supplies exports. Goods imports increased by $17.4bn to $336.1bn, driven by a large increase in industrial supplies and capital goods imports.

8. According to the ADP report, private sector employment rose by 90k in September (month-over-month, seasonally adjusted), slightly above consensus expectations. Employment in the services sector rose 59k, primarily reflecting a 55k increase in education and health services and a 22k increase in leisure and hospitality employment that were partly offset by a 16k decrease in financial activities employment. Employment in goods-producing industries increased by 31k, driven by a 17k increase in manufacturing and a 15k increase in construction employment. ADP's new median annual base pay measure, which better tracks other measures of wage growth than its gross pay measure, increased 3.0% for job stayers, unchanged from the August pace, and 4.8% for job changers, 0.1pp above the August pace. We left our forecast for August nonfarm payroll growth unchanged at +80k (vs. +90k consensus) ahead of Friday's release.

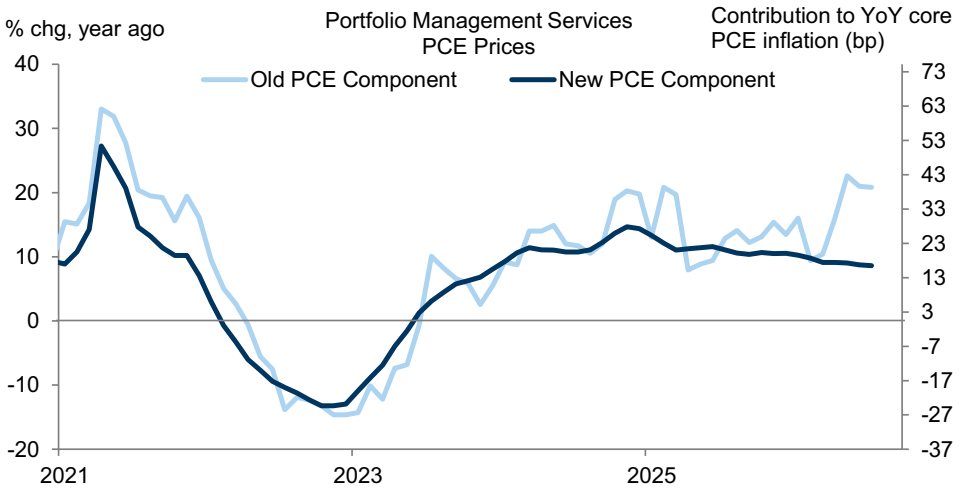
9. The details of the personal income and spending report were firmer than our previous GDP tracking assumptions. While the trade-related details of the Advance Economic Indicators report were much weaker than our previous assumptions, suggesting notably stronger imports growth in Q3 than we previously assumed, the inventories details were significantly stronger. On net, we lowered our Q3 GDP tracking estimate by 0.1pp to +3.3% (quarter-over-quarter annualized).



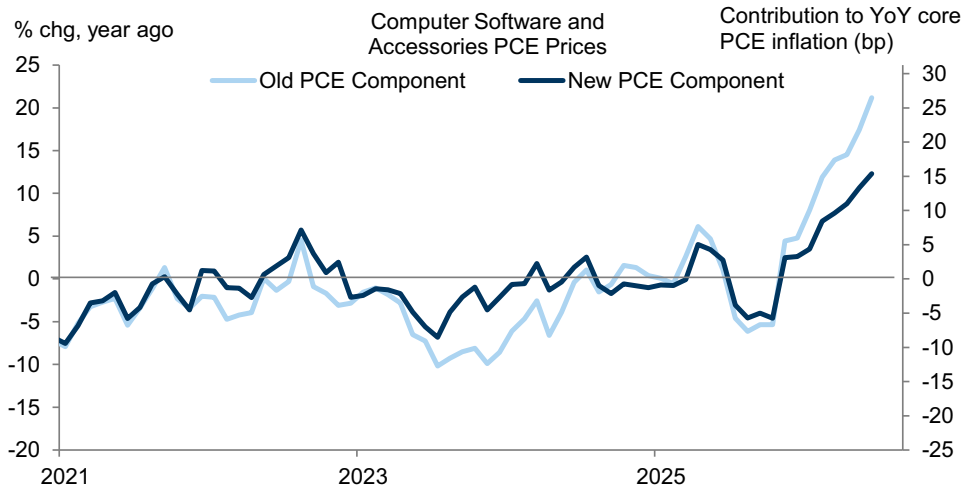
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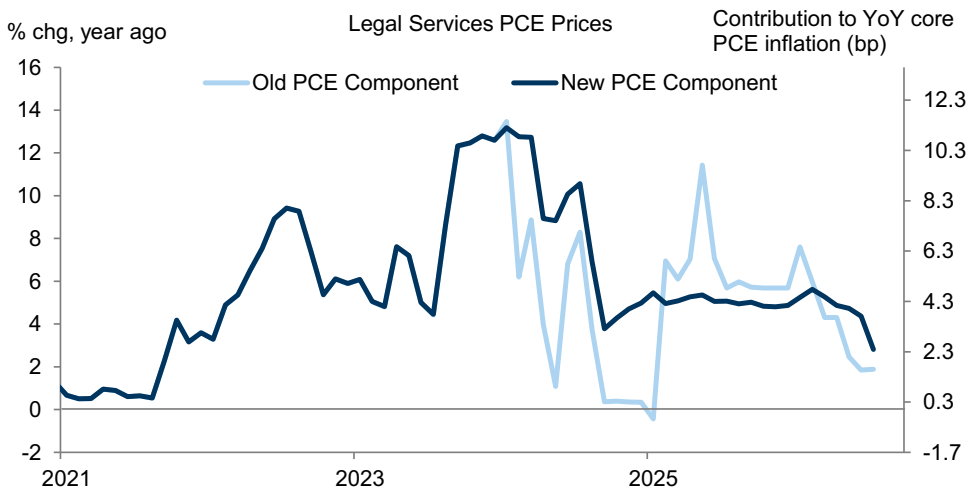
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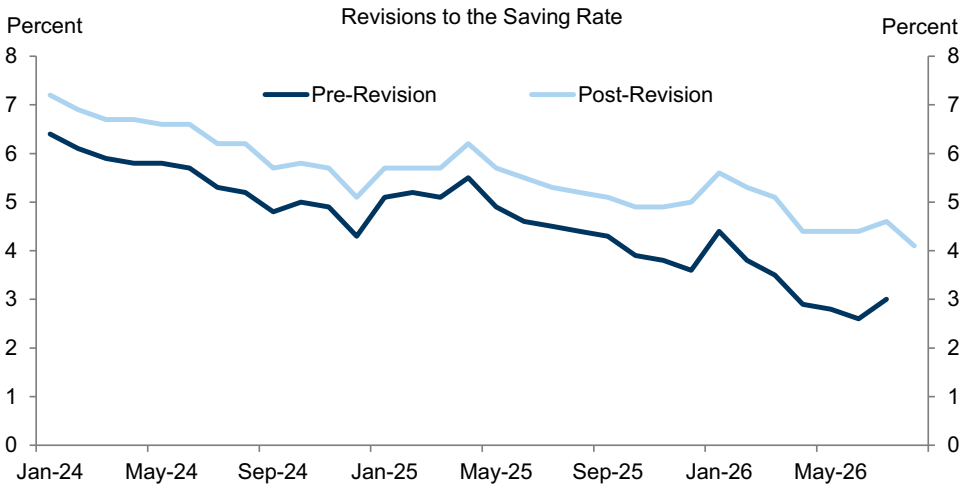
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Disclosure Appendix

Reg AC

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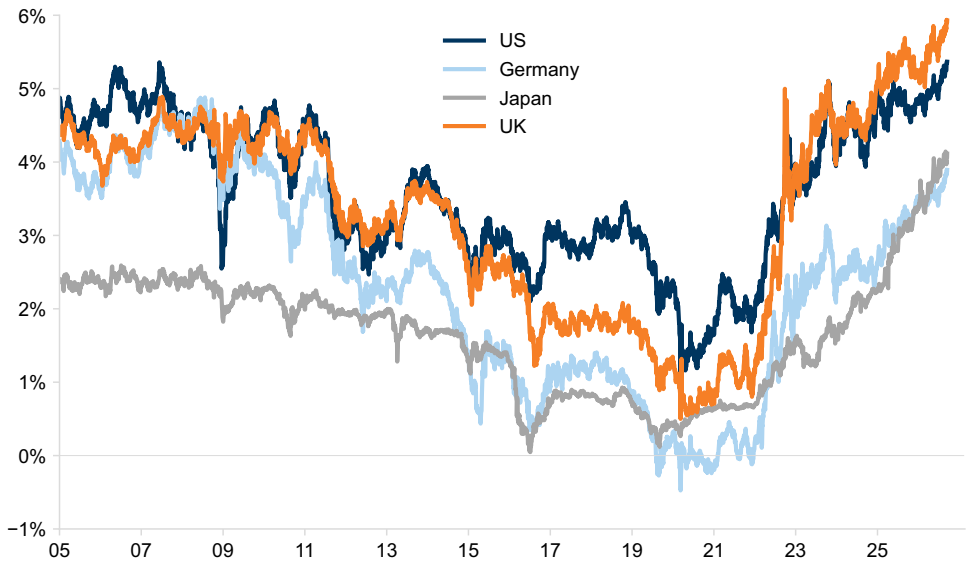
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1. There are two themes dominating our investor conversations: the impact of AI and the rise in interest rates. The two issues are linked as demand for capital from both the private and public sectors increase. In the private sector a surge in capex spending to fund AI infrastructure has eaten into free cash flow and forced companies to raise more in debt and equity markets. Meanwhile, government borrowing needs have increased as priorities shift towards upgrading critical infrastructure, energy security and defense at a time when cyclical inflationary pressures driven by higher energy prices are also resulting in higher policy rates. The combination has pushed up the cost of capital. As recently as 2022, for example, 30-year bond yields in Germany and Japan were close to zero (Exhibit 1). A rise in yields, together with more uncertainty (over geopolitics and the future impact of AI) have, in combination, pushed up the cost of capital.

Exhibit 1: Rising yields and uncertainty have increased the cost of capital
30-year government bond benchmark yields (%)

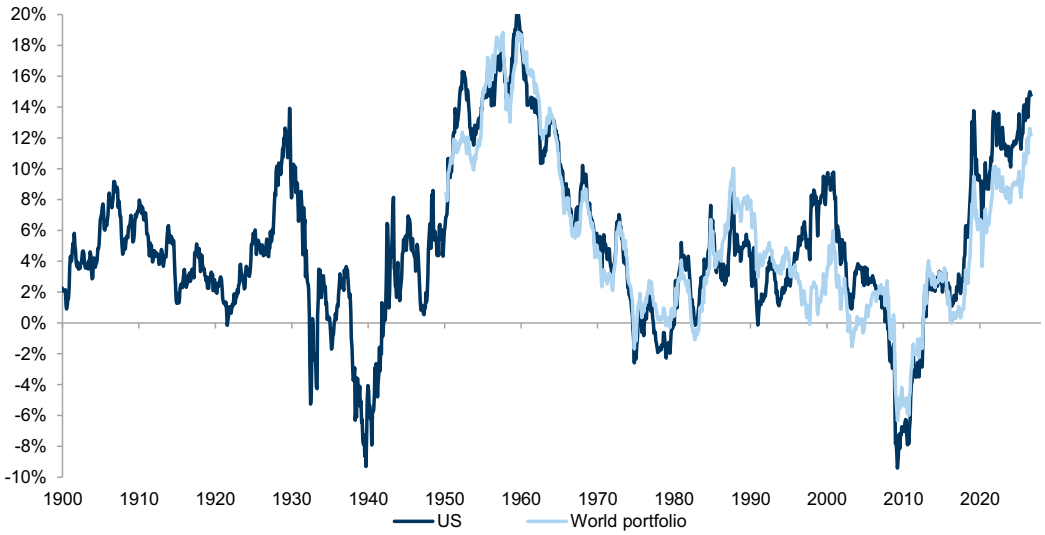


Source: Datastream, Goldman Sachs Global Investment Research

2. This rise in yields comes after a near-record period of equity outperformance relative to bonds over 10-year holding periods (Exhibit 2).

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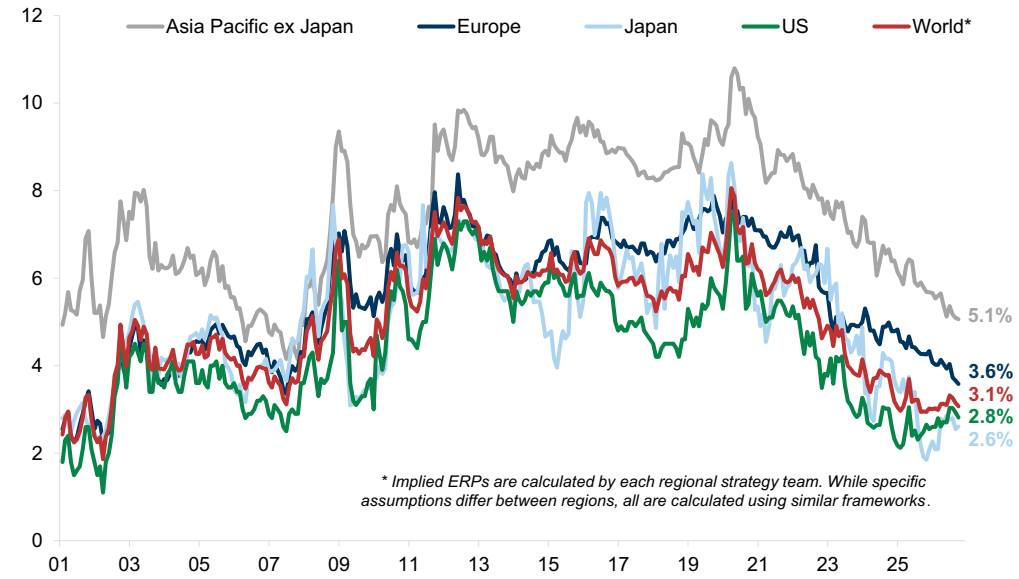
Exhibit 2: Equities have enjoyed a near record period of outperformance relative to bonds
10-year rolling annualised equity vs. bond performance (ex post equity risk premia)



Source: Robert Shiller, Datastream, Haver Analytics, Goldman Sachs Global Investment Research

As equities have continued to outperform bonds, equity risk premia have fallen back to levels last seen in the late 1990s, leaving equity markets more vulnerable to further increases in bond yields. That said, in the US and Japan, the ERP has bounced off recent lows (Exhibit 3).

Exhibit 3: Equities have re-rated versus bonds amid higher inflation
Global market implied ERP (%)

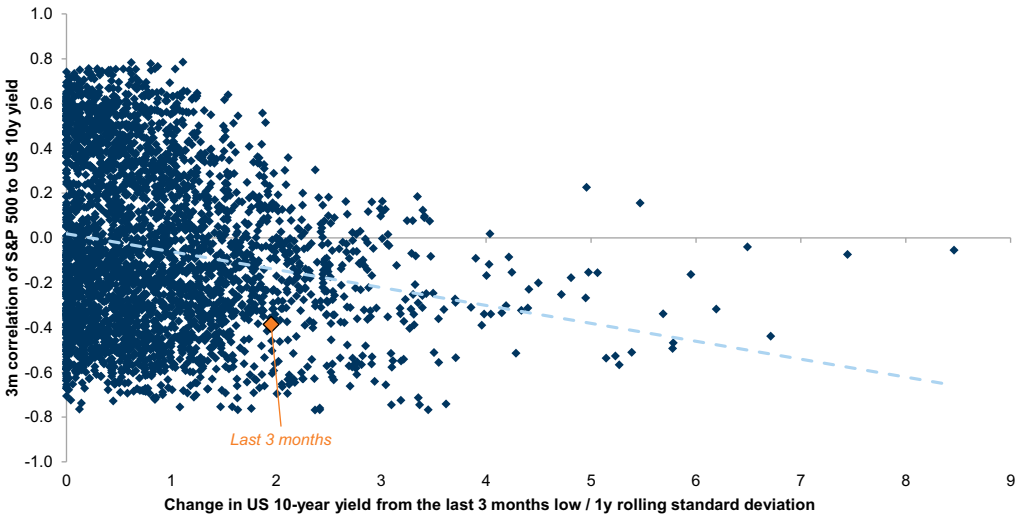


Source: Goldman Sachs Global Investment Research

3. The impact of rising bond yields, however, depends not only on the level of yields, but also on the reasons as well as the speed of the adjustment (Exhibit 4). It is the speed issue that has caused the biggest impact in the recent past. As our US strategists note, stocks have usually generated positive returns alongside rising interest rates unless the pace of rising rates exceeded 2+ standard deviations and this is a pattern that is broadly

reflected in other regions too. Today, a 2-standard deviation move in 10-year Treasury yields would equate to about 50bps over a month or 30bps over two weeks, similar to the adjustments in recent days which explains the pullback in equity prices.

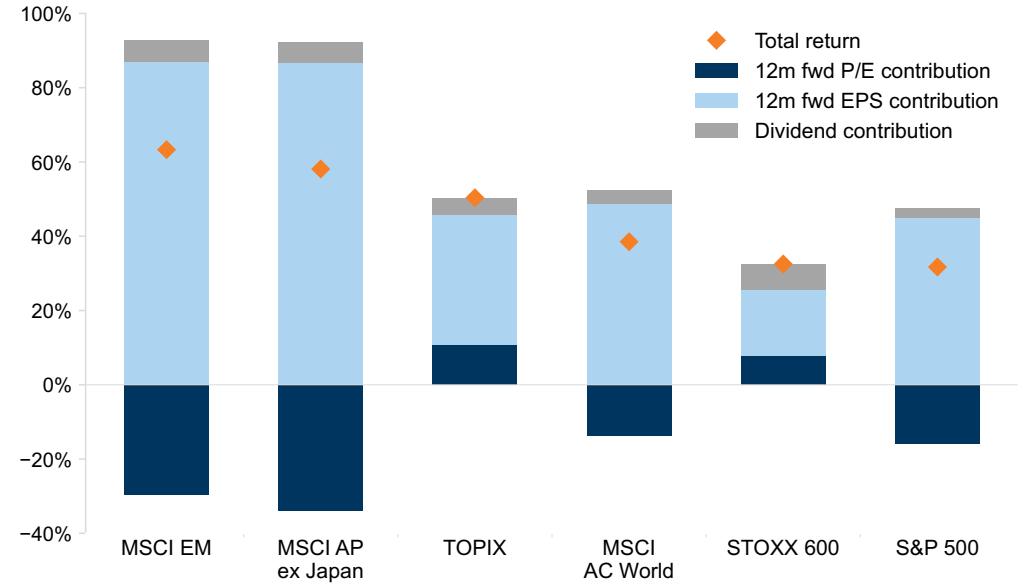
Exhibit 4: A continued sharp increase in bond yields could put pressure on equities
Data since 1962



Source: Datastream, Goldman Sachs Global Investment Research

4. But despite the rise in yields, nominal GDP and profit growth remain strong and, until recently, the impact of rising bond yields has been offset by the strength in corporate profits. Earnings growth has been the main driver of equity returns over the past 18 months in all regions (Exhibit 5). This strength has meant that PE multiples have either been flat (Japan and Europe) or have fallen (the US, Asia and EM).

Exhibit 5: Earnings have driven most of the returns since 2025
Total return contribution since Jan-2025 (local CCY)



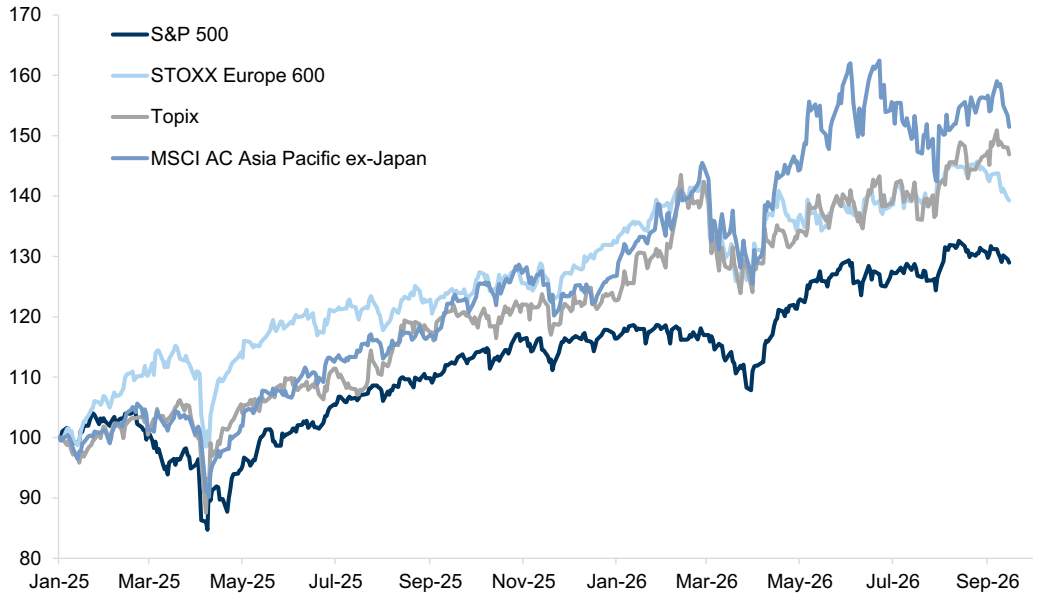
Source: Datastream, STOXX, Goldman Sachs Global Investment Research

In the US, in particular, the forward PE multiple for the S&P has come down from 22x at

the start of the year to 19x, in line with its long-run average, despite the market being close to its all-time high.

5. While US equities have driven the bulk of equity outperformance for much of the fifteen years post the financial crisis, the improvement in earnings across regions, and the sharper de-rating in the US, has resulted in equity performance being broader-based by geography. Since 2025, the US equity market has been the weakest of the major regions (Exhibit 6), a turnaround from the dominant trend since the financial crisis and increasing investor returns from a more geographically diversified portfolio.

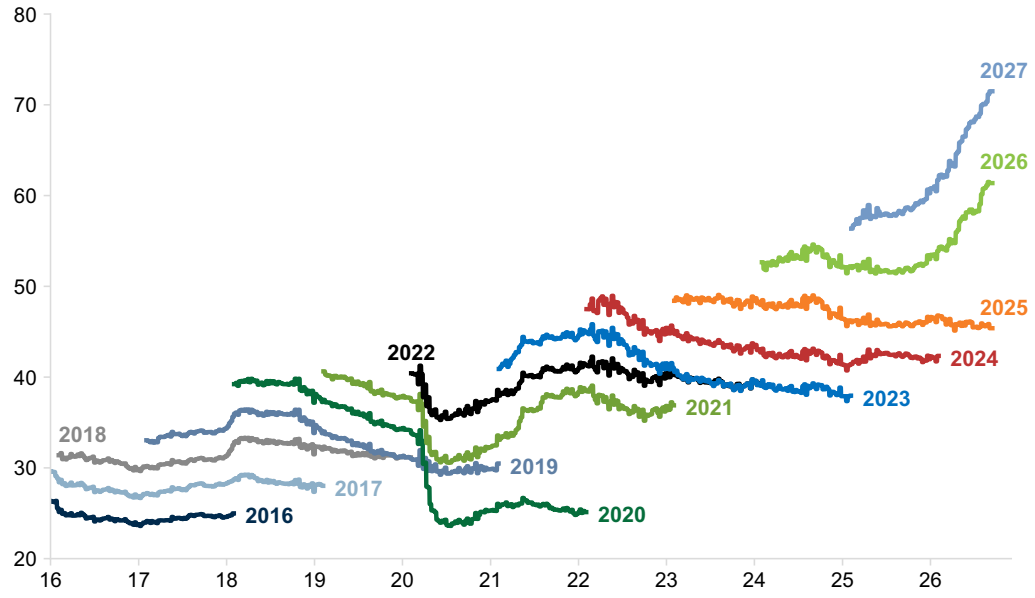
Exhibit 6: US equities have underperformed other major regions since 2025
Indexed price performance (USD)



Source: Datastream, STOXX, Goldman Sachs Global Investment Research

6. Supportive profit growth has been accompanied by positive earnings revisions, with 2026 and 2027 estimates moving higher across major regions. There are four broad areas which have been driving much of this profit growth. First, technology earnings continue to be very robust. Second, rising energy prices have pushed up profits in the commodity sector. Third, banks have generally enjoyed strong earnings backed by positive nominal GDP growth, steep yield curves and strong private sector balance sheets. Finally, sectors such as Industrials have benefited from the surge in AI capex spending which has spilled over into improved revenues for the 'pick and shovels' of AI infrastructure. The breadth of the earnings' growth has also increased the opportunity for investors to diversify across sectors as well as countries.

Exhibit 7: Earnings revisions have unusually been positive
Consensus estimates in USD. MSCI AC World EPS

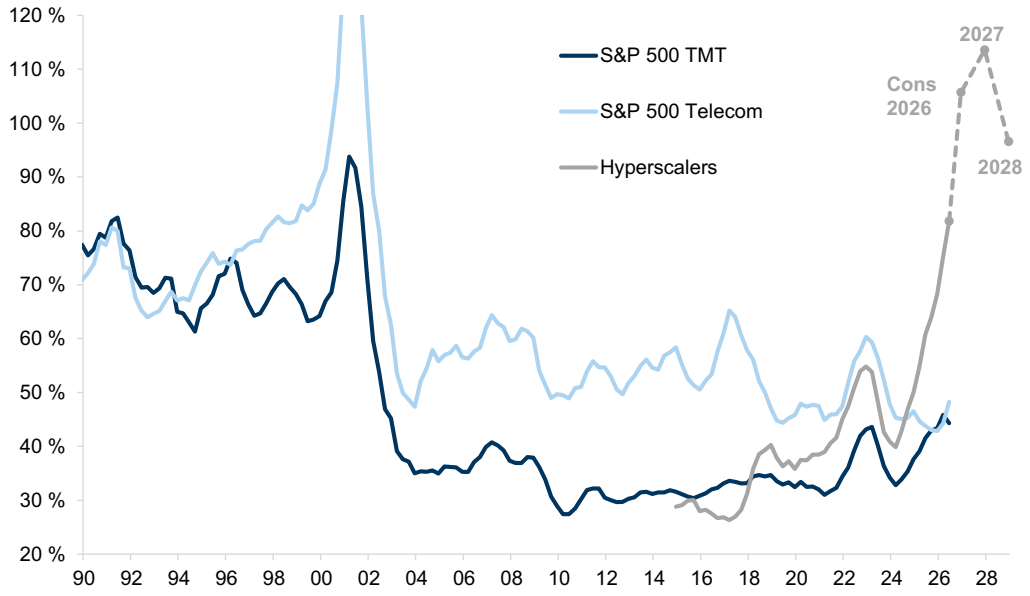


Source: Datastream, Goldman Sachs Global Investment Research

7. While technology profit growth has remained strong, the surge in capex spending among the hyperscalers has increasingly eaten through their free cash flow (Exhibit 8) prompting companies to look for alternative sources of funding, in the credit and equity markets. The capex spending growth for AA-rated issuers has been substantial: the 65% year-over-year growth in Q2 marks the 10th consecutive quarter that aggregate AA capex growth exceeds 35%. They have also turned to the convertible bond market where volume has also increased year to date reaching $135 billion in the US, with AI-related borrowers driving 44% of total issuance, on our estimates.

Our Credit team raised their full-year US IG gross issuance forecast by $200bn to $2.3 trillion and AI-related issuers account for a quarter of USD IG gross supply this year, pushing overall supply to a year-to-date record.

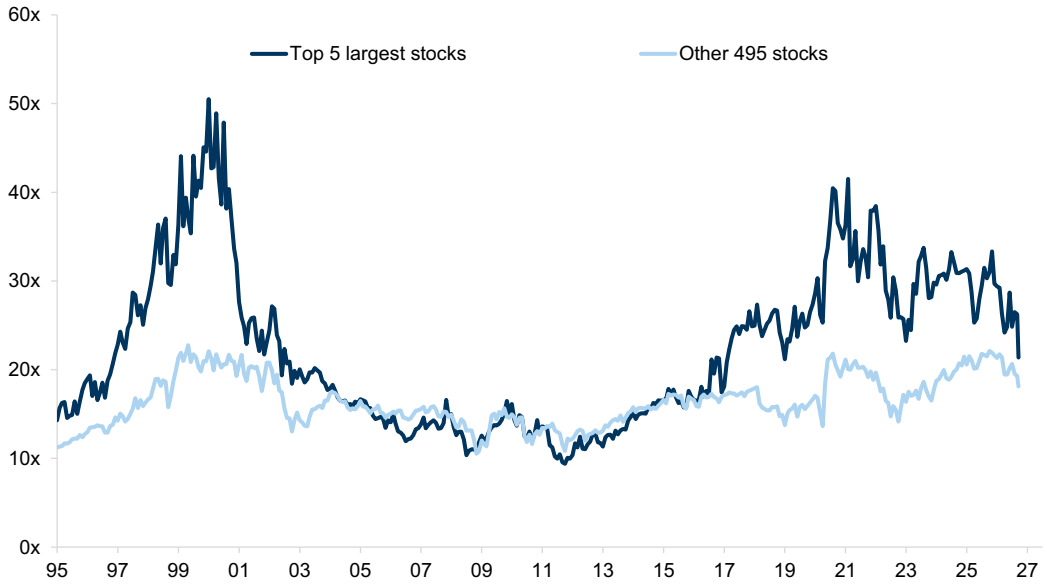
Exhibit 8: CAPEX is concentrated in few companies
Hyperscaler capex as % of cash flow from operations, dashed line representing 2026 consensus



Source: Compustat, FactSet, Goldman Sachs Global Investment Research

The combination of higher cost of capital and greater capital intensity in the tech sector has reduced the value of their future cash flows and triggered a de-rating in the biggest companies. The dominant capex hyperscalers in the US now have a forward PE close to the average of the rest of the market.

Exhibit 9: Large-cap valuations are less demanding than perceived
S&P 500 12m forward P/E multiple

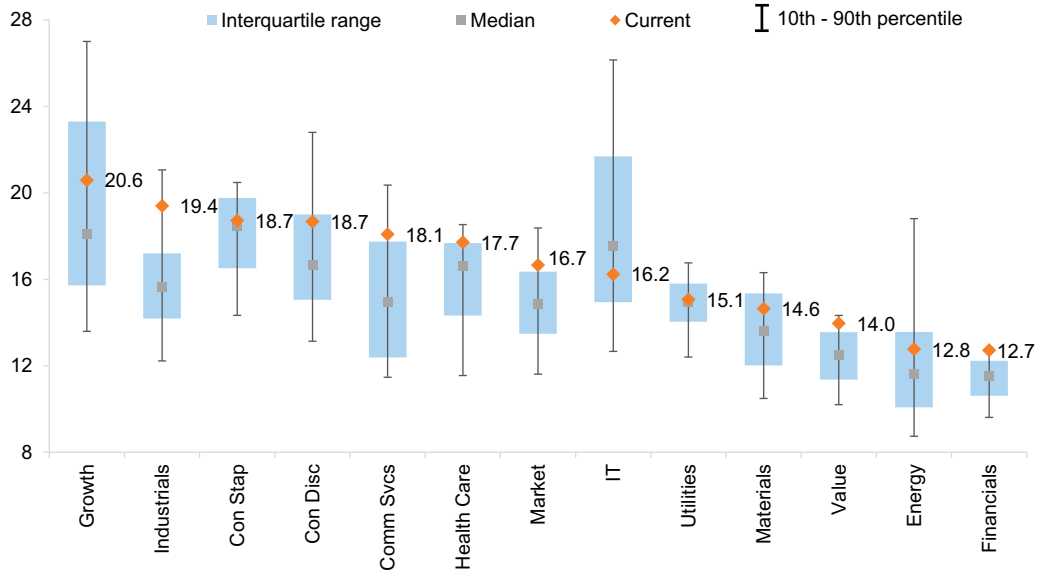


Source: Datastream, Goldman Sachs Global Investment Research

8. Software companies have also de-rated on the back of fears of disruption from AI while memory and chips stocks have also experienced lower multiples as their earnings

surge. Globally technology has seen its PE ratio moderate, falling below its 20-year median (Exhibit 10). Meanwhile, the spending of these companies has spilled over into better earnings and more visible cash flows in many other parts of the economy. Healthcare, Consumer Discretionary and Industrials are all more expensive in absolute terms than IT, and Industrials has re-rated and now has a PE close to the 90th percentile of its 20-year range.

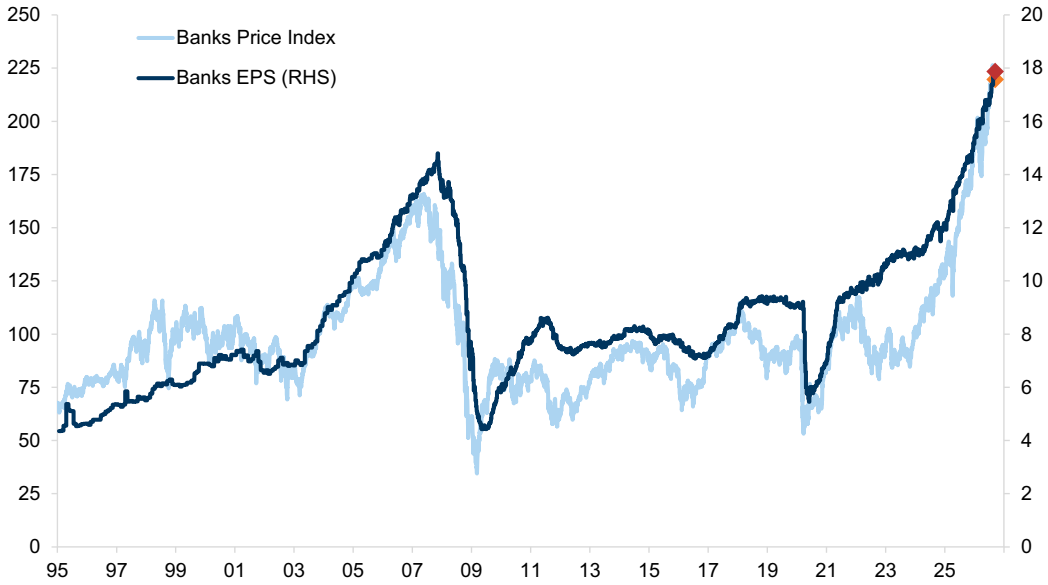
Exhibit 10: Industrials now trade at higher valuations than Technology
MSCI World sector/style valuations, 12-month forward P/Es relative to the last 20 years



Source: FactSet, Datastream, Goldman Sachs Global Investment Research

9. For these reasons, we have argued that Technology equities have not experienced a classic bubble because valuation levels are much lower than in previous financial bubbles. Nevertheless, the risk for investors is less about valuation and more whether there is an unsustainable earnings bubble. Bubbles in earnings, rather than valuations, have occurred in previous periods. The Bank sector, for example, briefly became the biggest sector in the S&P 500 in the run up to the financial crisis of 2008/09 (Exhibit 11). Unlike the technology bubble of the late 1990s, or the Japanese bubble of the late 1980s, Bank stocks did not experience a major valuation bubble at the time, but the surge in earnings that drove the sector's outperformance proved to be unsustainable.

Exhibit 11: Banks peaked again on earnings momentum
MSCI World Banks



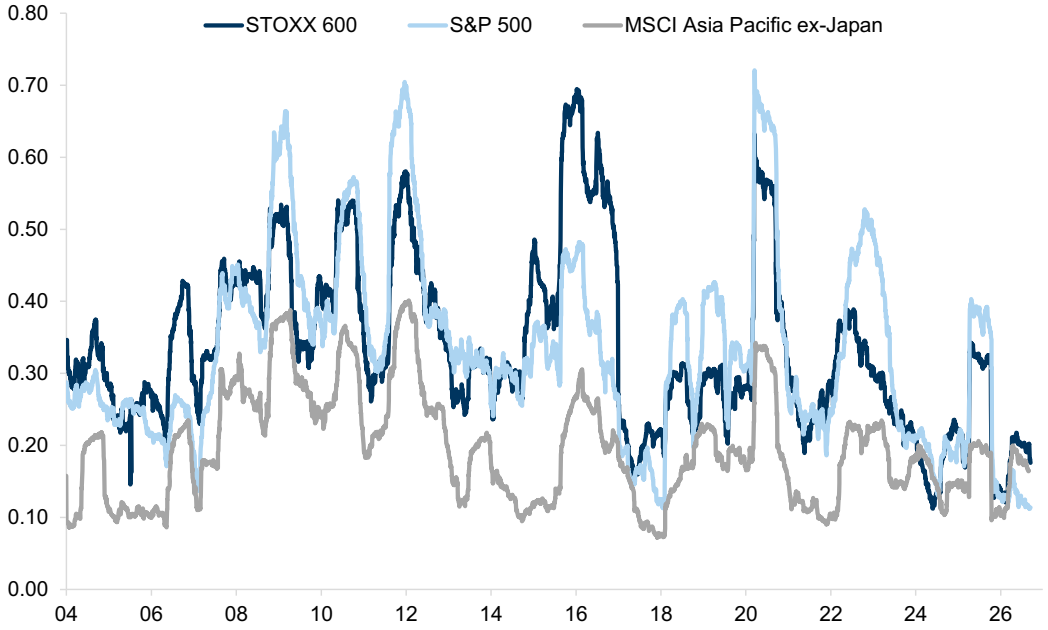
Source: Datastream, Goldman Sachs Global Investment Research

There are, however, important differences to the Tech sector today. The earnings of the banks were boosted by sharply rising leverage and the asset that they were financing – US real estate – did experience a valuation bubble. When the housing market collapsed, pushing economies into recession, it triggered a sharp fall in underlying earnings for the banking sector. There are important differences today. First, technology profits remain very robust, and balance sheets are strong overall. Second, interest coverage ratios for the aggregate S&P 500 and its median stock, for example, rank in the 99th and 68th percentiles relative to the past 20 years. Third, demand for compute is accelerating and outstripping supply; Microsoft recently declared their intent to triple data centre capacity in 6 years. The bottlenecks are increasingly power, land and data centre capacity rather than a lack of compute demand. At our annual Communacopia Technology Conference, Nvidia reiterated its 2030 AI TAM outlook to $3tn-$4tn and supply constraints continue to be broad based. Nonetheless, any slowdown in profit growth, in an environment of a much higher cost of capital, could put downward pressure on equity prices, reducing confidence in future cash flows across the ecosystem from the hyperscalers to the 'pick and shovels' that have been benefiting from the capex boom.

10. Given the near-term risks in bond markets, we remain neutral on equities, alongside other asset classes on a 3-month horizon, but continue to be overweight equities over 12 months. While profit growth is likely to slow from the recent strong pace, ongoing growth in nominal GDP should underpin equity markets and the earnings cycle propelling equity returns even without any valuation expansion from current levels and our economists continue to see a low risk of recession. As our asset allocation team has shown, earnings growth and ROE are likely to continue to be the key drivers of equity performance relative to bonds, and we expect these fundamentals to remain supportive for equity returns. Nevertheless, we continue to recommend well diversified equity exposure as opportunities continue to broaden across geographies, sectors and factors.

Stock correlations are at multi-year lows across the major equity markets (Exhibit 12).

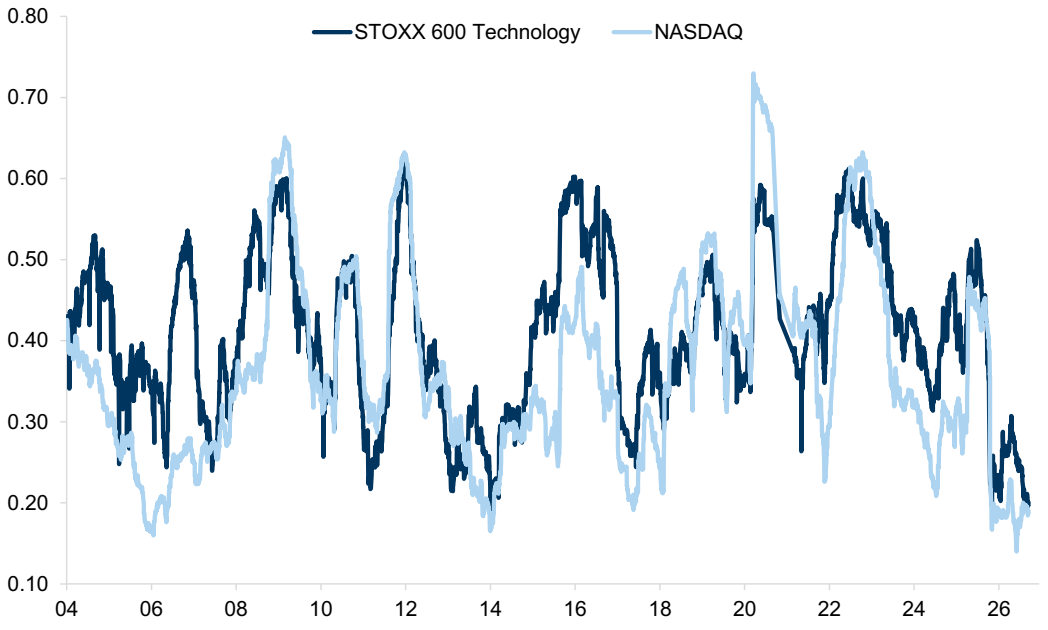
Exhibit 12: Pairwise correlation is low across regions
6-month average pairwise correlation



Source: Bloomberg, Goldman Sachs Global Investment Research

Even within sectors like technology, correlations have fallen sharply (Exhibit 13). The 'magnificent seven' that was long seen as a homogeneous group of technology winners has also seen significant dispersion of returns. Differentiation, diversification and alpha generation are likely to remain the key drivers of equity returns. With higher bond yields, valuations are not likely to rise making earnings the critical driver of returns for investors.

Exhibit 13: Correlations have fallen sharply within Technology
6-month average pairwise correlation



Source: Bloomberg, Goldman Sachs Global Investment Research

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AI ADOPTION TRACKER

August 2026: Adoption Rises to 22.4%

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- We update our AI adoption tracker through August 2026.
- **AI-related investment growth** remains strong, particularly for semiconductors, where equity analysts expect global revenue to reach $863bn (ann.) by the end of 2026. 2026 gross profit forecast revisions since 2022Q3 for AI-exposed global public companies currently stands at $1.1tn. AI-related hardware investment in the US national accounts also continues to rise and now stands at $485bn (3-month annualized average; 1.5% of GDP) above its 2022 level. AI-related hardware shipments from Taiwan have grown by 76% since 2022 and US AI hardware net imports ticked up to $55.9bn in June.
- **AI adoption by firms** rose by 0.9pp to 22.4% among US establishments (with adoption expected to rise to 25.9% in the next 6 months) according to the Census Bureau's Business Trends and Outlook Survey (BTOS). Information is leading sector adoption at nearly 50%. At a detailed subsector level, computing and publishing firms continue to lead adoption, and warehousing and miscellaneous manufacturing firms report the largest expected increase in adoption over the next six months. Establishments with over 250 employees continue to lead in adoption (40%; latest six survey average) while adoption has grown more slowly recently among smaller firms. Other business surveys note that 40% of surveyed organizations have begun deploying and scaling AI agents.
- **AI's labor market impact** remains visible but narrow. We continue to observe employment drags in specific industries where AI-use cases have been established such as marketing, graphic design, customer service, and some tech occupations. However, this is offset by construction job growth in data center-exposed categories, which is up 209k since 2022 (relative to broader construction employment trends). The tech share of total employment continues to decline relative to the pre-2022 trend. The correlation between AI adoption and broad labor market slack measures remains limited but has strengthened in recent months. Corporate layoffs attributed to AI affected 11k employees in June, bringing the 2026 YTD total to 113k. 22% of Russell 3000 companies mentioned AI and labor-related keywords in 2026Q2.
- We continue to observe large **impacts on labor productivity** in the limited areas where generative AI has been deployed but only modest signs of economy-wide impacts. Academic studies imply a 23% average uplift to productivity, while company anecdotes imply slightly larger efficiency gains of around 32%.

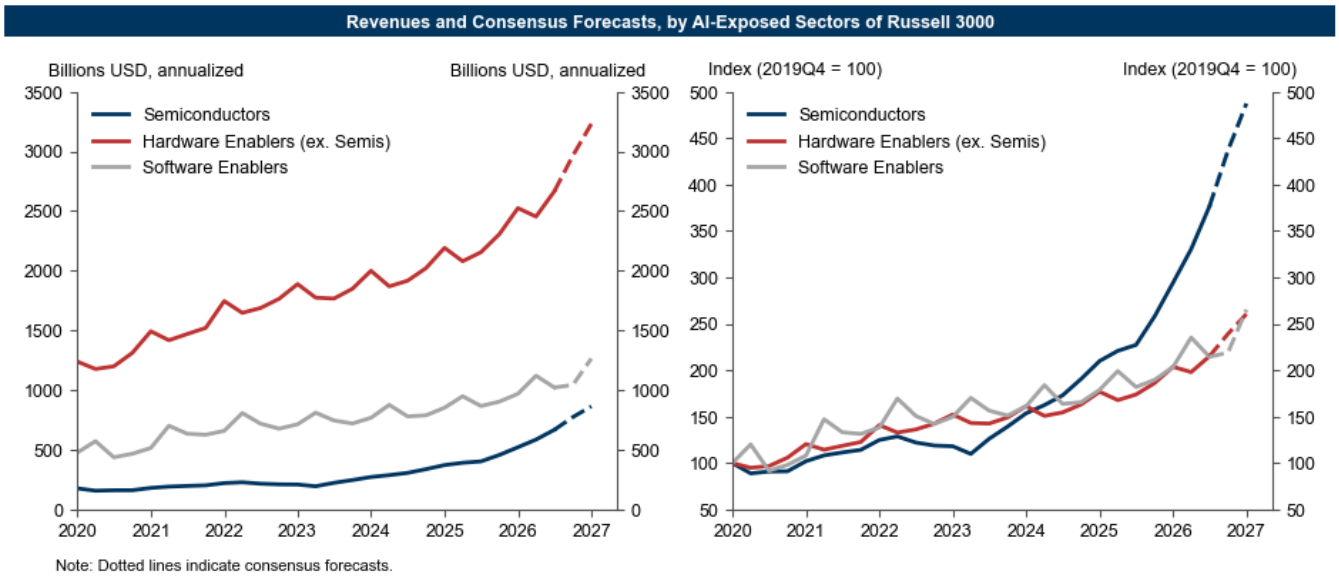
Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html.

Industries with higher AI adoption rates are now showing a slight acceleration in productivity growth over the past year in official US data.

August 2026: Adoption Rises to 22.4%

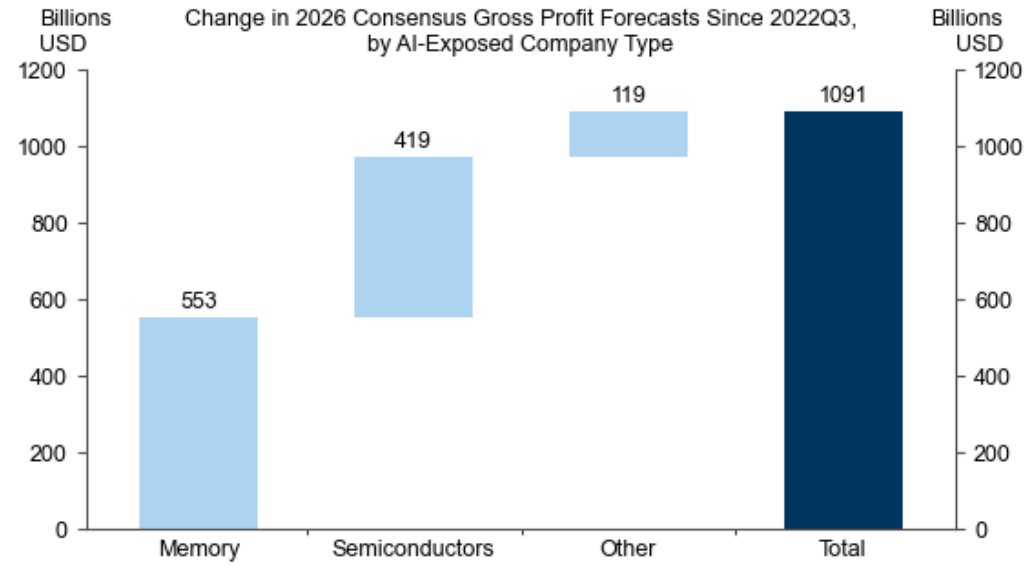
AI Investment

Exhibit 1: Semiconductor Company Revenues Are Projected to Rise to $863bn (Annualized; vs. 2022) by End-2026



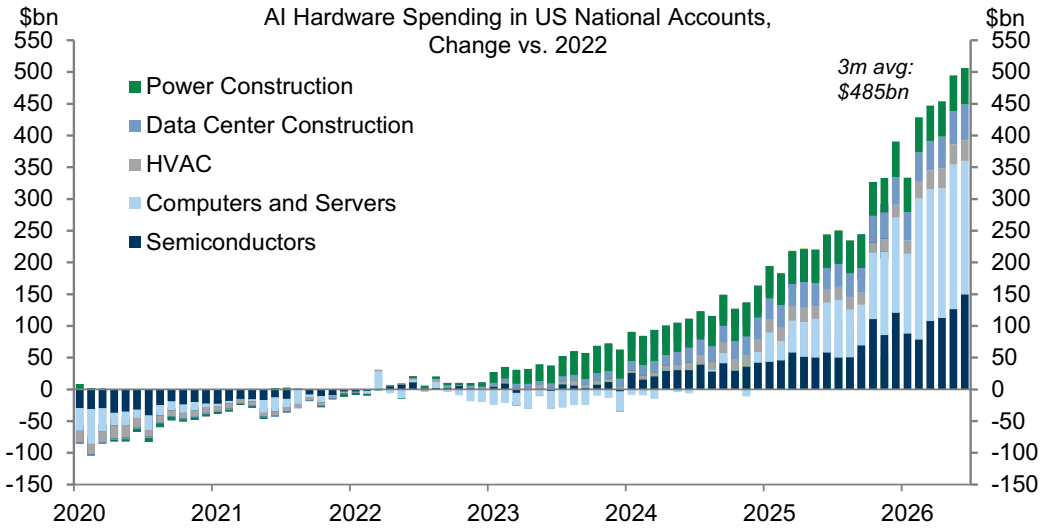
Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 2: AI-Exposed Gross Profit Forecast Revisions For 2026 Currently Stand at $1.1tn



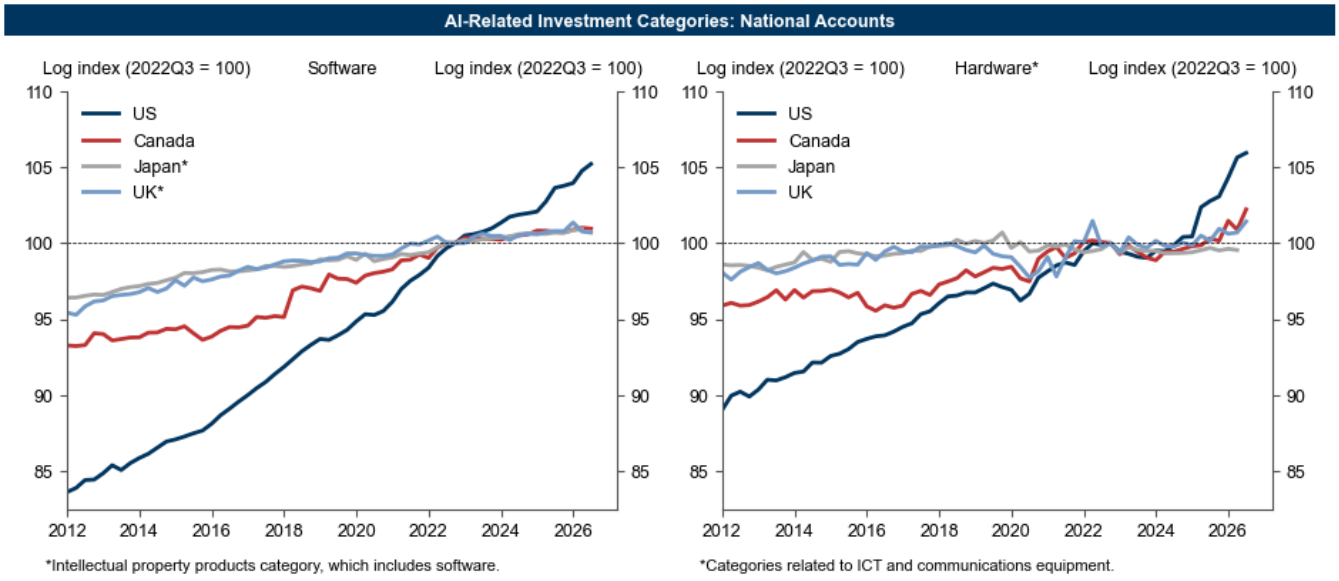
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: AI Hardware Investment in the US National Accounts Has Increased by $485bn Since 2022 on a Three-Month Annualized Basis



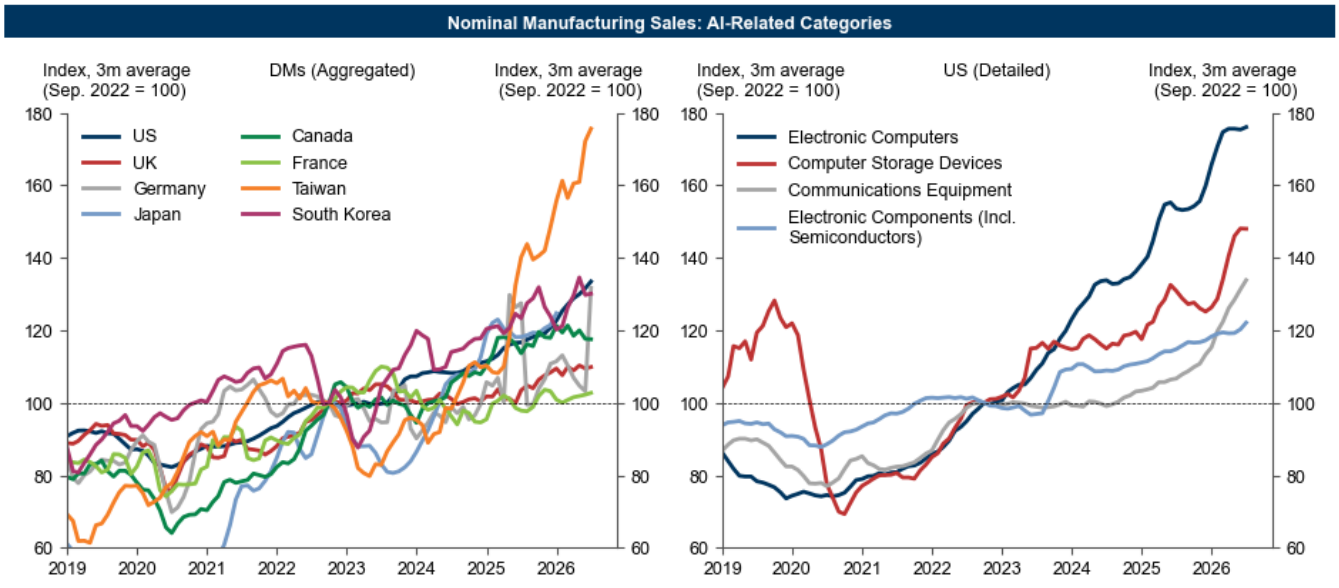
Source: Census Bureau, Bureau of Economic Analysis, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: US Investment in AI-Related Hardware and Software Ticked Up in Q2



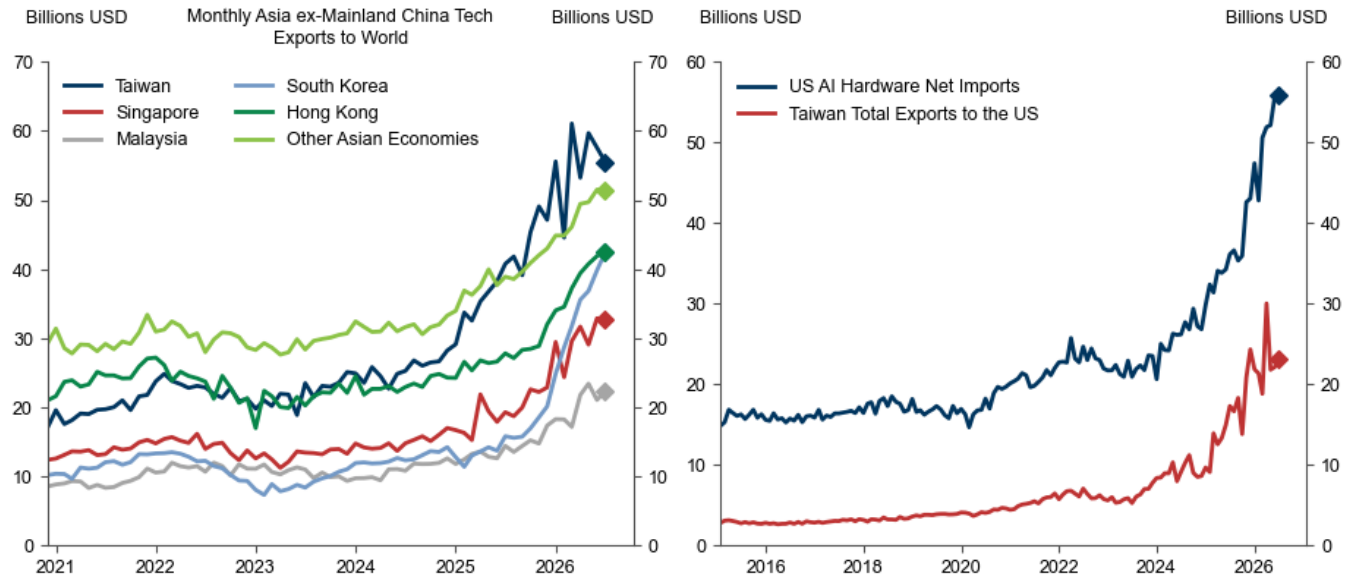
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 5: AI-Related Manufacturing Shipments From Taiwan Have Grown by 76% Since 2022



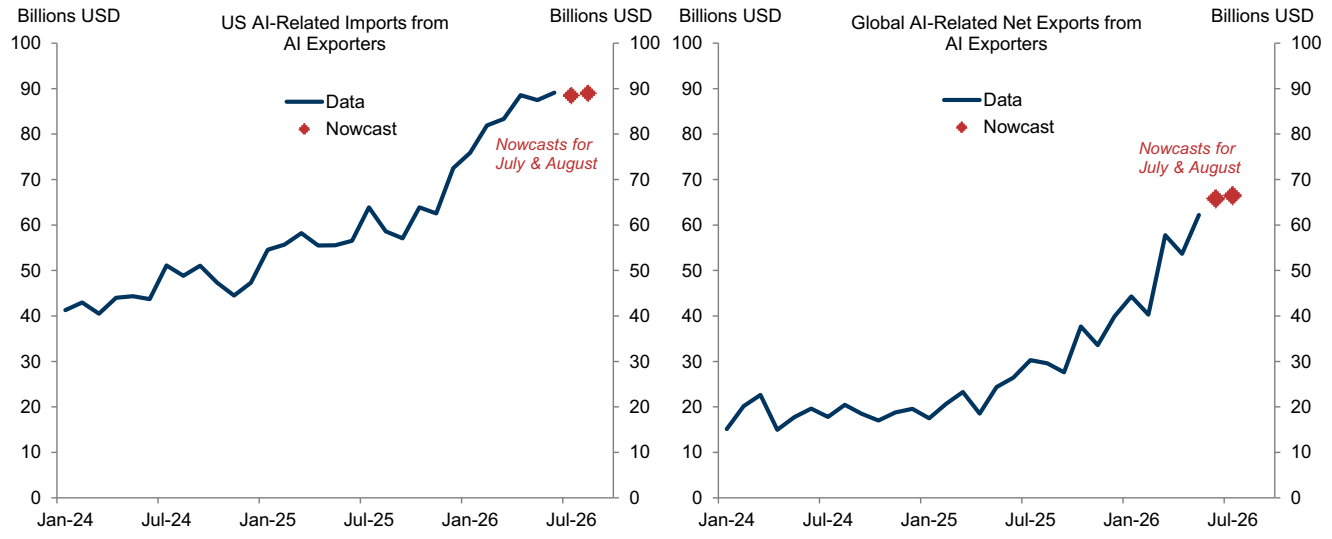
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 6: US AI Hardware Net Imports Stood at $55.9bn in June



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 7: We Expect $66bn in Global AI-Related Net Exports from AI Exporters in August

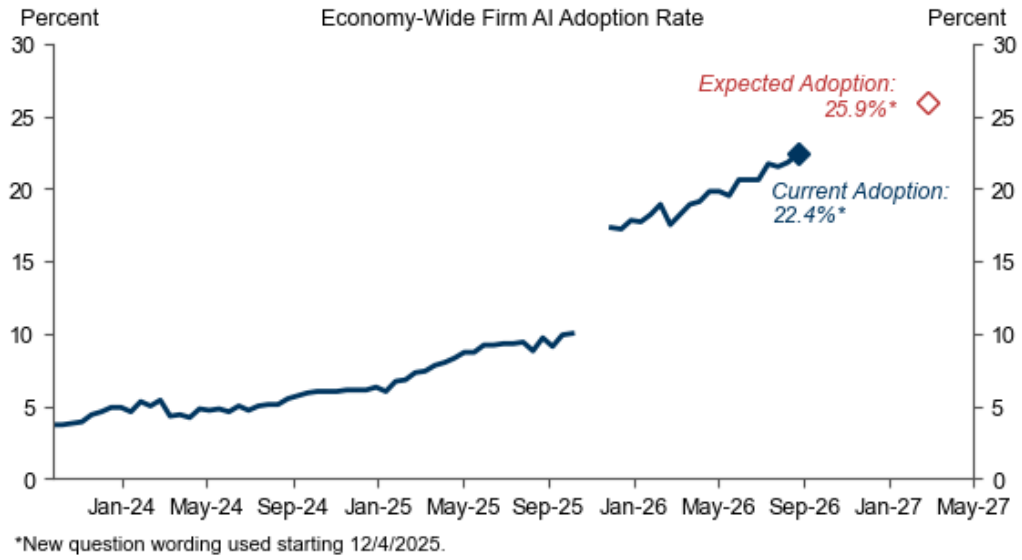


Source: Goldman Sachs Global Investment Research

AI Adoption by Firms

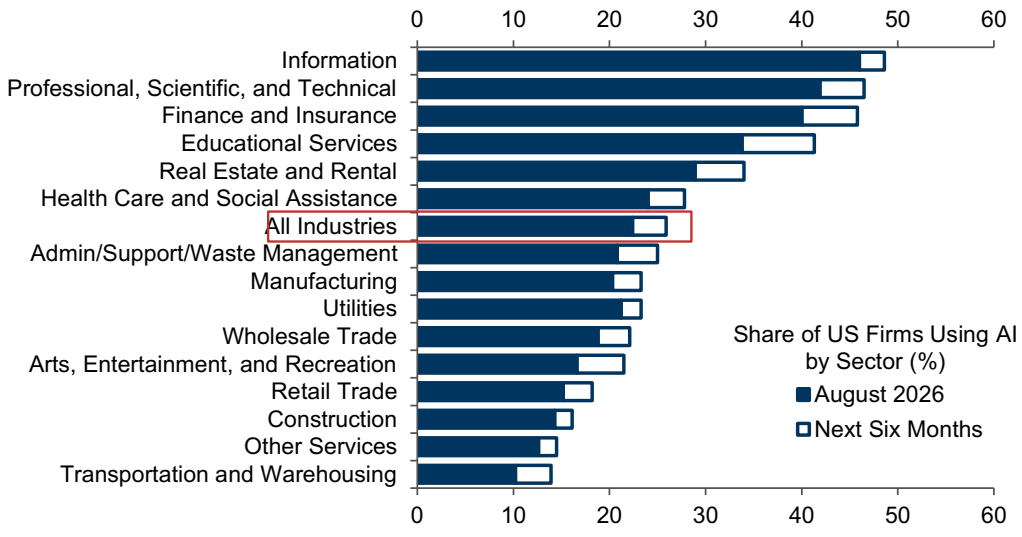
Note: The Census Bureau has rephrased questions from asking about AI use in "producing goods and services" to asking about AI use in "any business functions" starting from the December 4, 2025 release. There was a level shift observed in conjunction with the new question wording, and we will be tracking adoption rates under the new methodology going forward.

Exhibit 8: 22.4% of Firms Are Using Artificial Intelligence in Their Regular Business Functions (+0.9pp From July); 25.9% Expect to Use AI In the Next 6 Months



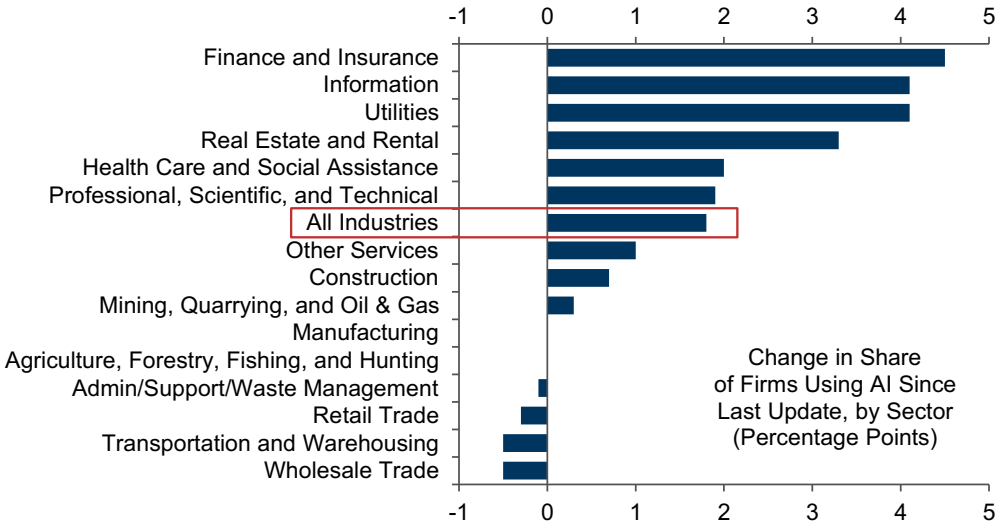
Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 9: Adoption Is Approaching 50% in the Information Sector



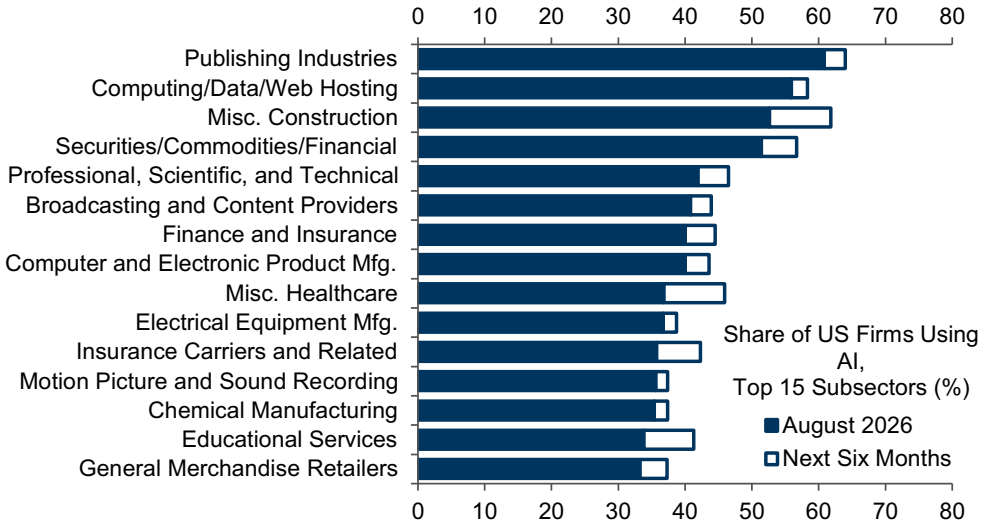
Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 10: Finance and Insurance Firms Had the Largest Gains in Adoption Since Our Last Update



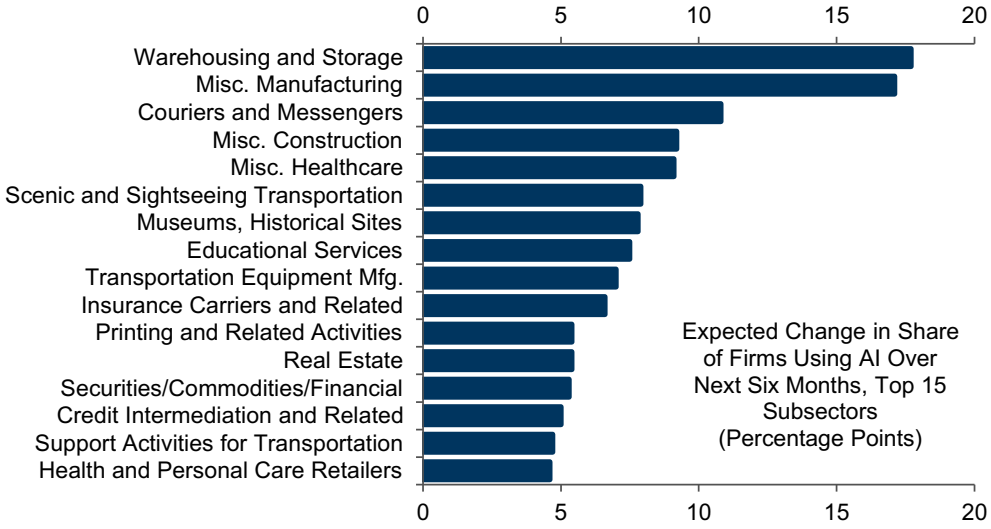
Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 11: Publishing and Computing Continue to Lead Adoption at the Subsector Level



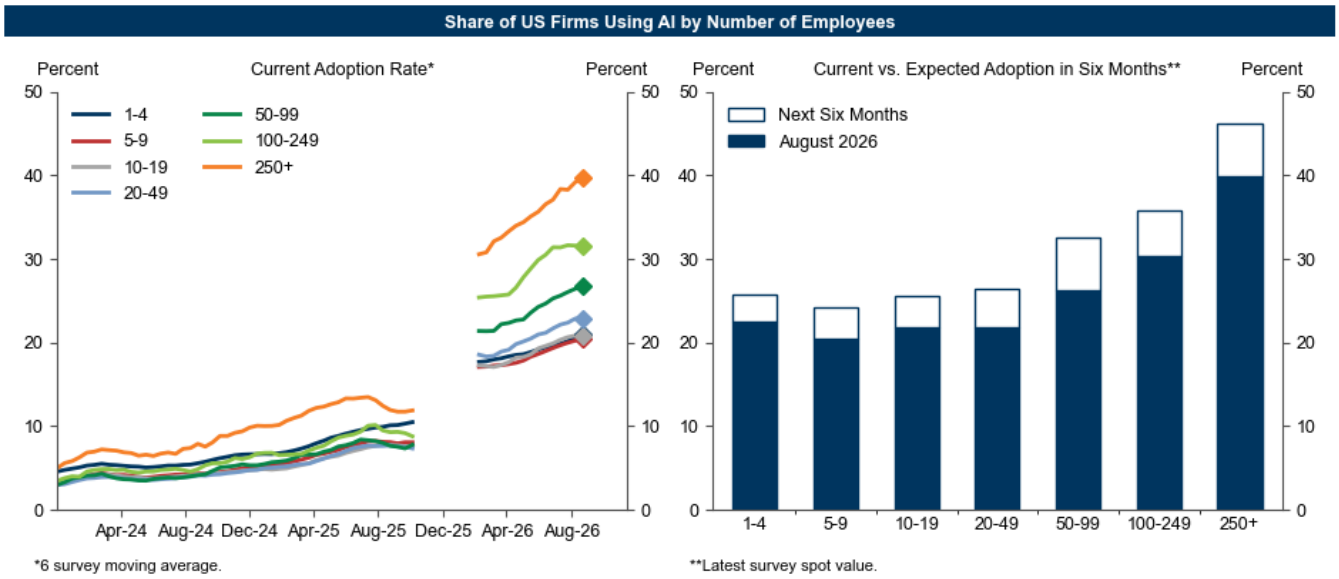
Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 12: Warehousing and Storage and Miscellaneous Manufacturing Firms Report the Largest Expected Adoption Increases in the Next 6 Months



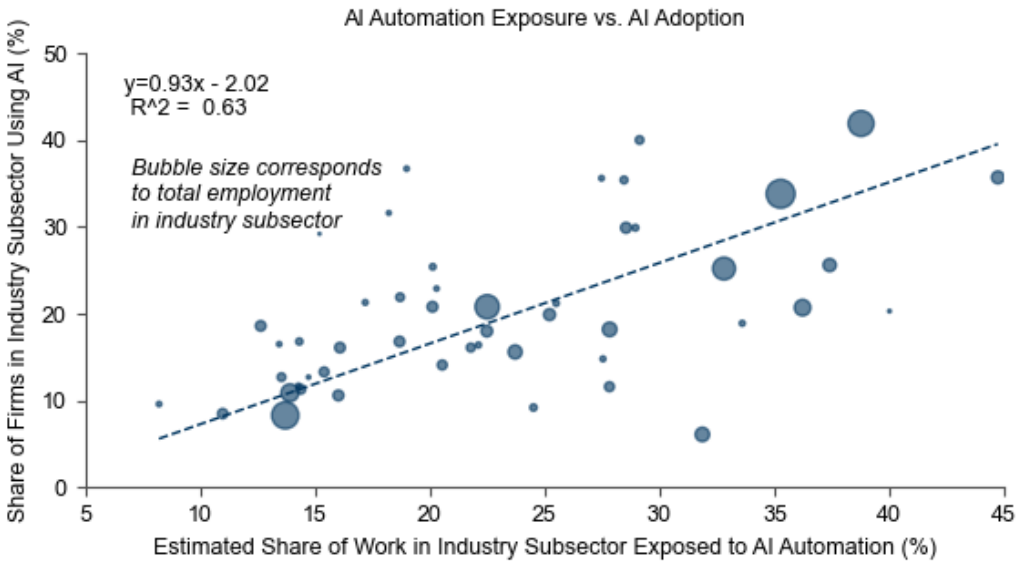
Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 13: 40% of Large Firms With 250+ Employees Expect to Be Using AI in Six Months



Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 14: AI Adoption Remains Strongly Correlated With Our Subsector AI Automation Exposure Scores



Share of work exposed to AI automation is a GS estimate based on the methodology in "Global Economics Analyst: The Potentially Large Effects of Artificial Intelligence on Economic Growth" (March 26, 2023).

Source: Census Bureau, Goldman Sachs Global Investment Research

Exhibit 15: 40% of Surveyed Organizations Have Begun Deploying and Scaling AI Agents

Source	Date	Current Adoption / Impacts	Future Adoption / Impacts
McKinsey	August 2026	40% of large organization respondents have adopted AI agents and are scaling their deployment throughout the organization, up from 27% last year. Nearly a third of respondents reported that they had used agentic coding tools to build software in-house instead of purchasing it. 80% of respondents said AI has improved their individual productivity.	60% of surveyed organizations expect to increase their AI investments in the year ahead. 39% of respondents expect AI-related declines in their organization's total employment in the coming year.
Gallup	July 2026	47% of surveyed US employees in Q2 said their organization has integrated AI tools to improve workplace productivity, up from 41% last quarter. Individual AI use at work also increased to 52% of respondents. Among AI users, the most common uses of AI are writing and editing (51%), search or research (49%), and general assistance or problem-solving (39%).	The highest productivity ratings come from employees using AI for coding assistance and automation or process automation. Employees who use AI for a greater variety of tasks were also more likely to report that AI positively affects their personal productivity. Although corporate adoption and AI awareness has grown notably, one in five employees remain unsure if AI has been integrated at their organization
WRITER	April 2026	52% of employees say they've used AI agents over the past year. Employees reported saving around 6 hours per week with AI tools, while executives reported saving twice as much time at nearly 12 hours per week. The top use cases include editing and proofreading, personalized communication, and data analysis and insights. Few surveyed leaders reported seeing significant ROI from generative AI (29%) or AI agents (23%).	69% of executives report doing layoffs due to AI, but 39% admit their company doesn't have a formal strategy to drive revenue from AI.
Harvard Business Review and Appian	April 2026	Most organizations have moved beyond the experimentation phase with AI and 58% of surveyed organizations have AI in production. 69% of respondents reported that legacy systems are limiting their organization's ability to scale AI. Most respondents are seeing some returns from AI investments, but only 16% report realizing a high degree of measurable value.	Many organizations are currently exploring agentic AI systems (under consideration by 62% of respondents and currently used by 25%). Although nearly all organizations agree that clear guardrails are needed for AI agent adoption, fewer than half say their organization has defined such rules.
Gallup	April 2026	Half of all surveyed adults reported using AI in their jobs and 27% of employees in AI-adopting organizations say that their workplace has changed in disruptive ways due to AI in the past year. 65% of adopters said that AI has improved their productivity and efficiency, regardless of how often they personally use AI at work.	Eighteen percent of all U.S. employees say it is very or somewhat likely their job will be eliminated within the next five years due to AI or automation. Among employees working in organizations that have adopted AI, that share rises to 23%. However, employees in AI-adopting organizations were more likely to report both current expansions and reductions in headcount.
NVIDIA	March 2026	64% of respondents said their organizations are actively using AI in their operations. 28% said they're still in the assessment phase, while 8% said they're not using AI and have no plans to. Regional adoption among respondents was 70% in North America, 65% in EMEA, and 63% in APAC. Larger companies (with over 1000 employees) demonstrated broader adoption, deployed more use cases, and reported greater ROI. More than half of respondents (53%) said improved employee productivity was one of the biggest impacts AI had on business operations.	86% of respondents said their AI budgets would increase this year and nearly 40% said budgets would increase by 10% or more. Respondents reported that workflow and operations and retaining the right expertise to scale AI solutions were the key challenges to adoption.
Deloitte	January 2026	In the latest survey, 34% of companies were starting to use AI to deeply transform their businesses, 30% were designing key processes around AI, and the remaining 37% were using AI at the surface level with little or no change to underlying business processes. 84% of companies have not redesignated jobs or work tasks around AI capabilities. 25% of surveyed leaders reported that AI is having a transformative effect on their organizations, more than double from 12% a year ago.	Survey results showed that insufficient employee skills were the largest barrier to integrating AI into existing workflows. Nearly three-quarters of surveyed companies expect to be using agentic AI at least moderately in two years.
Gallup	December 2025	The percentage of US employees who reported using AI at work at least a few times a week increased from 19% in 2025Q2 to 23% in Q3. Unsurprisingly, employees working in knowledge-based jobs (such as tech or professional services) were more likely to use AI than those in frontline positions. Most common use cases include using AI to consolidate information or data, idea generation, and automating basic tasks. Users most often use AI chatbots and virtual assistants.	Gallup research has shown that employee AI adoption is strongly associated with having greater managerial support for AI and strategic integration of AI in their role, indicating that a strategic people-first approach is needed for effective AI adoption.

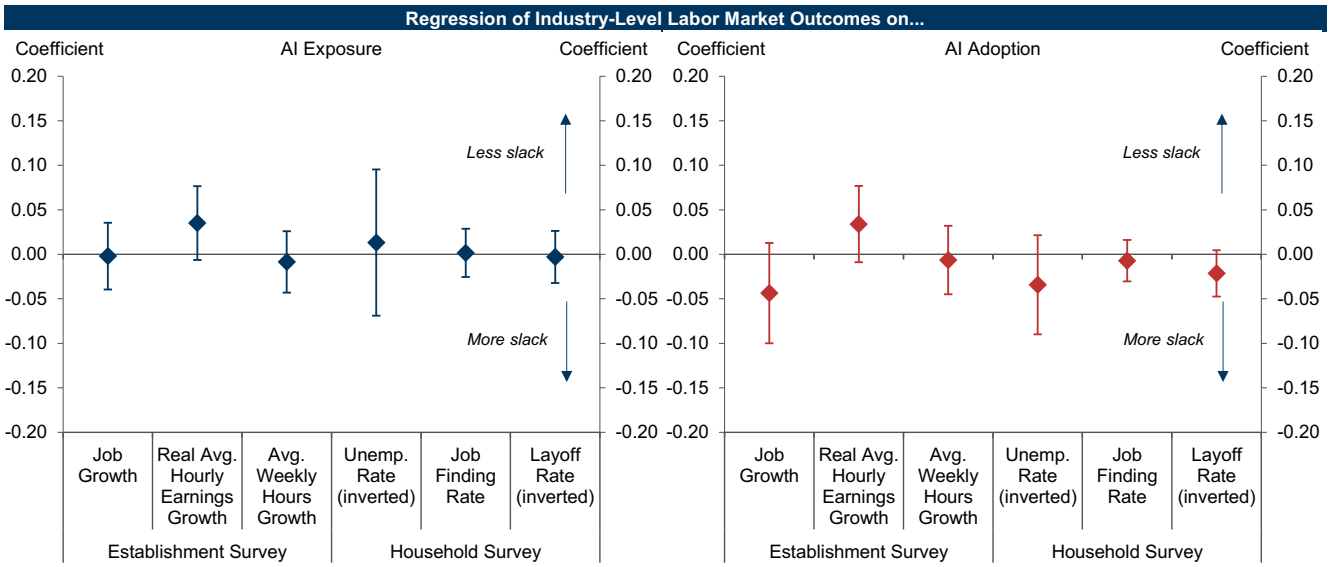
Green shading indicates surveys added since the last update.

Source: Goldman Sachs Global Investment Research

AI's Impact on the Labor Market

Labor Outcomes

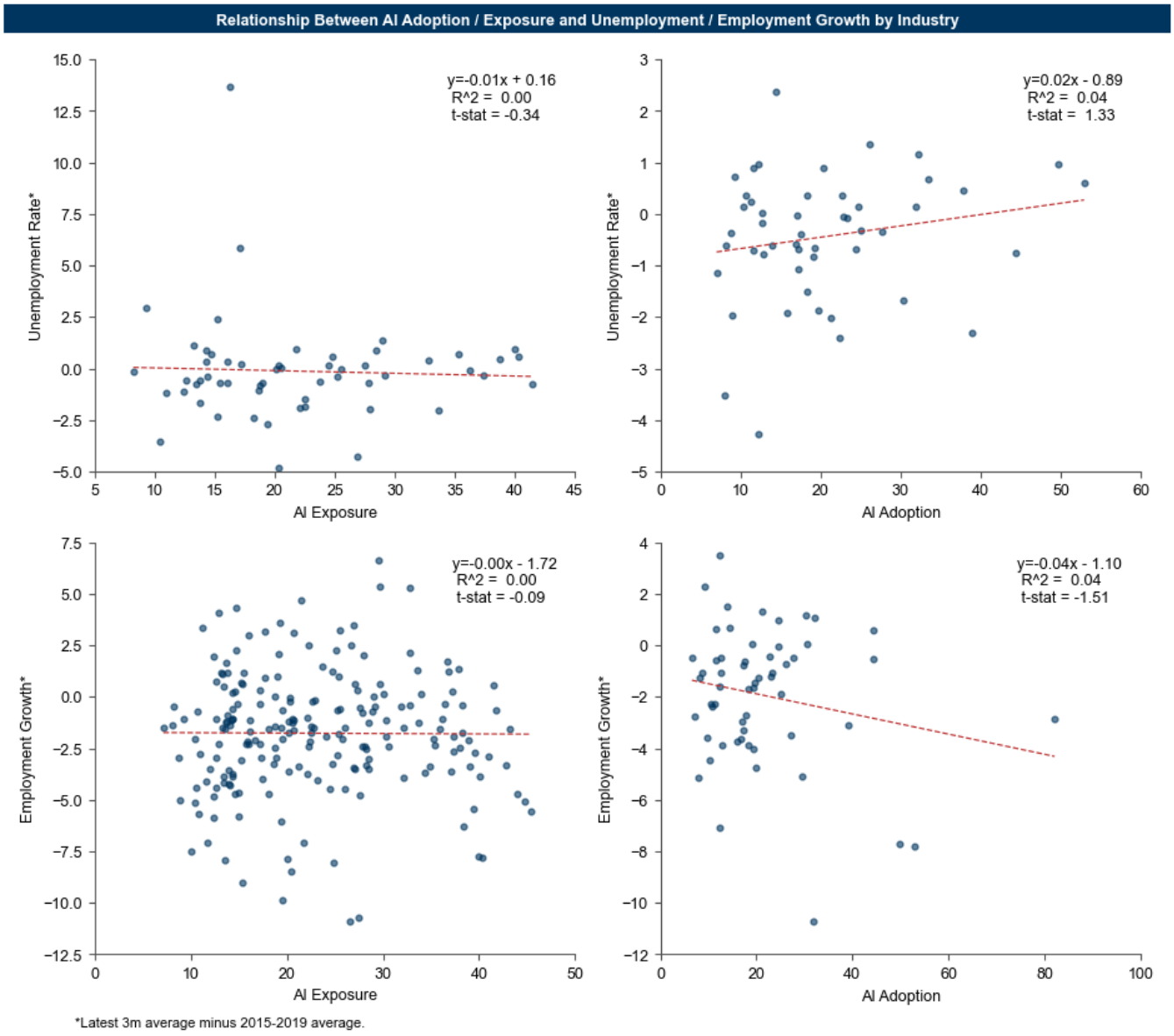
Exhibit 16: Some Signs of a Negative Relationship Between AI Adoption and Labor Market Slack Indicators, Particularly Job Growth



Note: All dependent variables are taken as the deviation from 2015-19 averages. Average coefficient over the past three months is plotted.

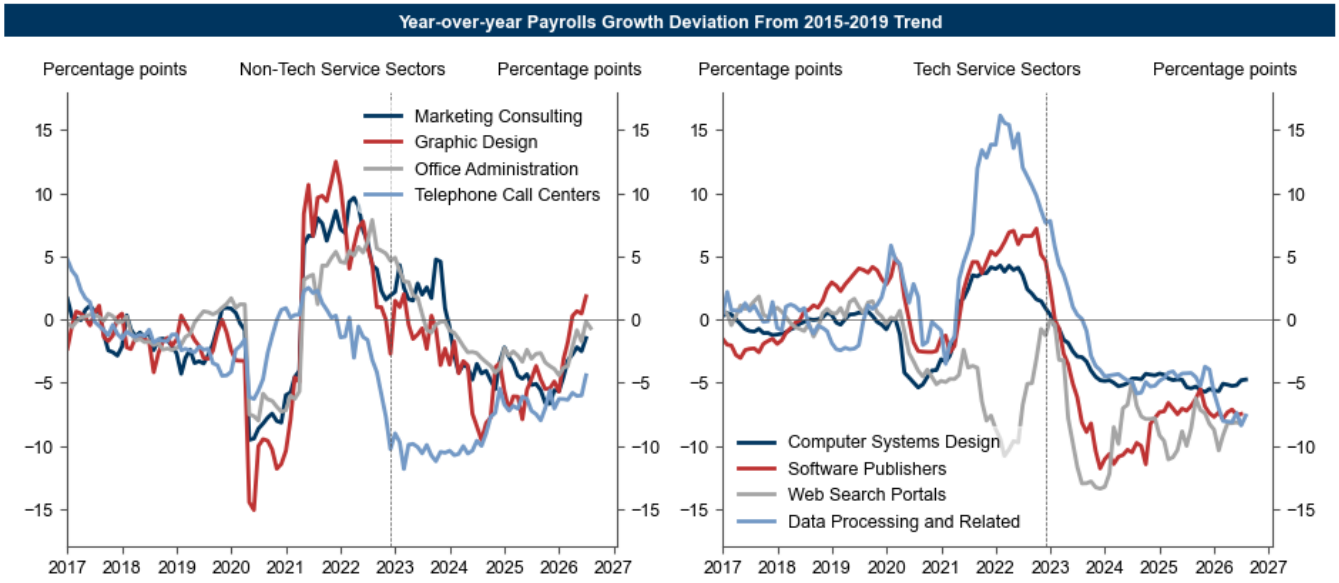
Source: IPUMS, US Bureau of Labor Statistics, Census Bureau, Goldman Sachs Global Investment Research

Exhibit 17: Recent Negative Relationship Between Adoption and Employment Growth, but Still Not Statistically Significant



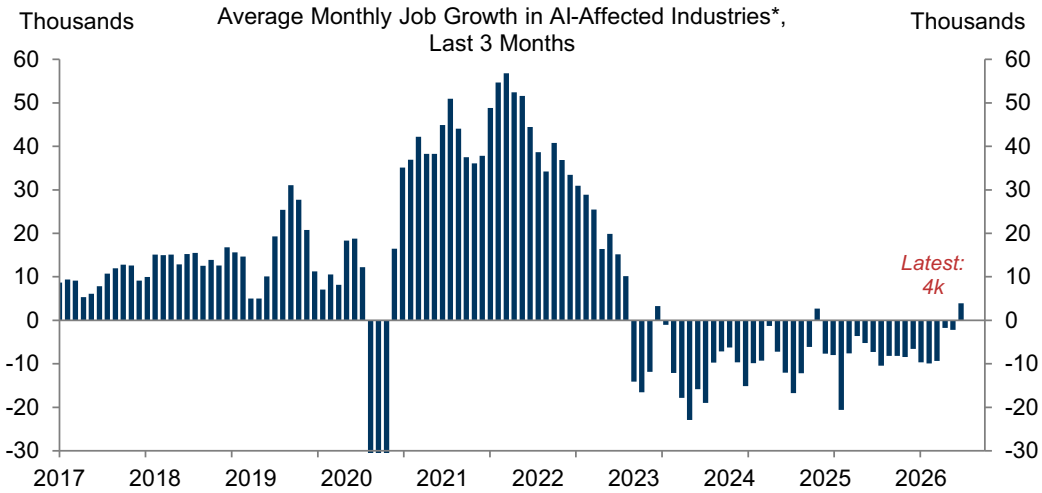
Source: US Bureau of Labor Statistics, IPUMS, Goldman Sachs Global Investment Research

Exhibit 18: Employment Growth Continues to Underperform in Occupations (Specifically Tech) Where Anecdotes Suggest AI Is Having an Impact, but Employment Has Recovered Somewhat in Several Affected Non-Tech Sectors



Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

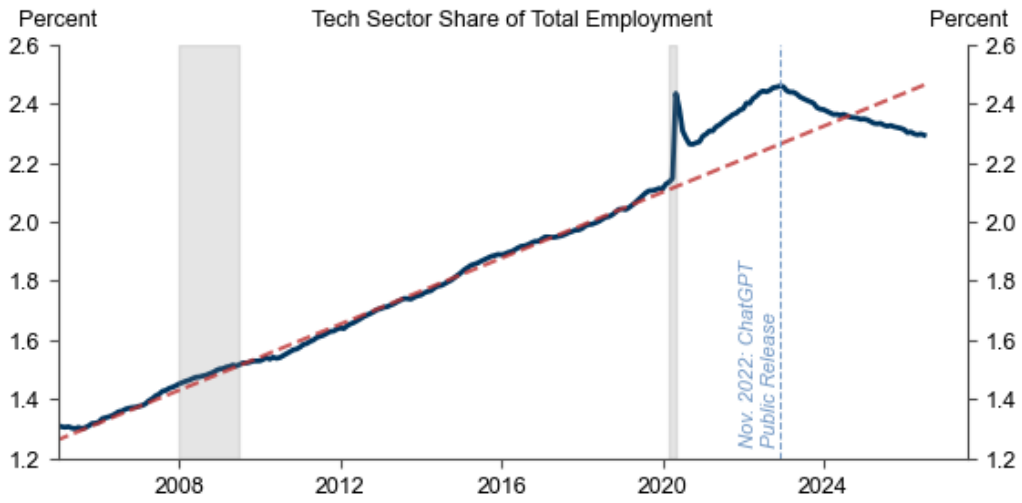
Exhibit 19: Job Growth Drag in AI-Affected Industries Has Reversed For Now



*Management consulting, graphic design, office administration, telephone call centers, computer systems, software publishers, web search, data processing, movie production, broadcasting, publishing, document preparation services.

Source: US Bureau of Labor Statistics, Goldman Sachs Global Investment Research

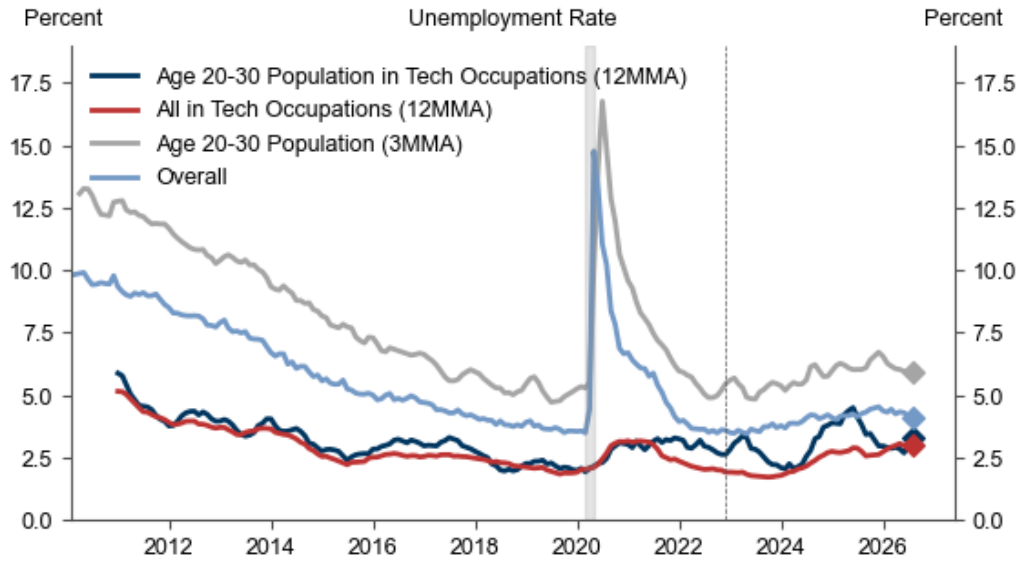
Exhibit 20: Tech's Employment Share Continues to Decline Below Its Long-run Trend



Note: Tech refers to the software publishers, data processing and related, web search and related, and computer systems design subsectors. Red line represents 2007-2019 trend.

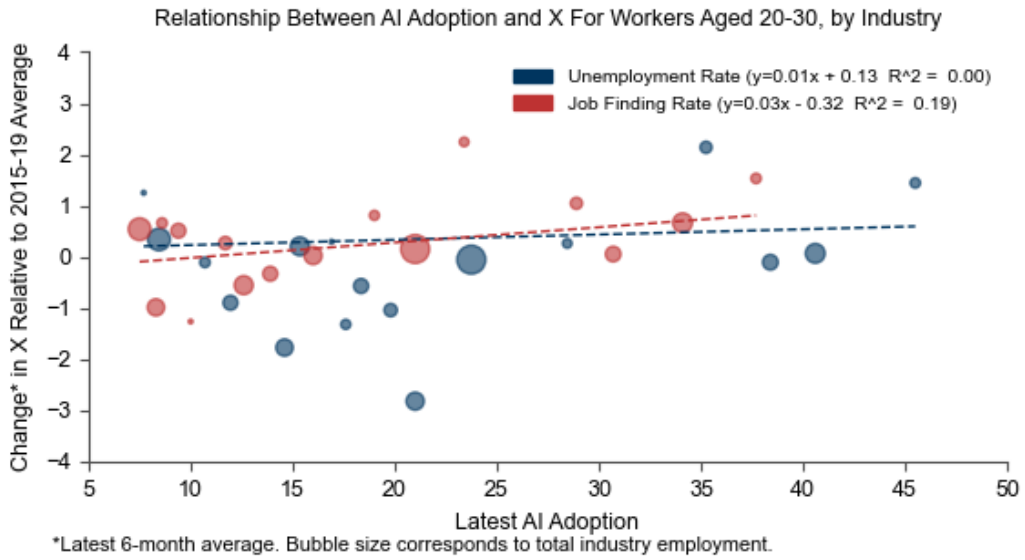
Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 21: Unemployment Among Young Tech Workers Has Fallen Back in Line With Unemployment for All Tech Workers



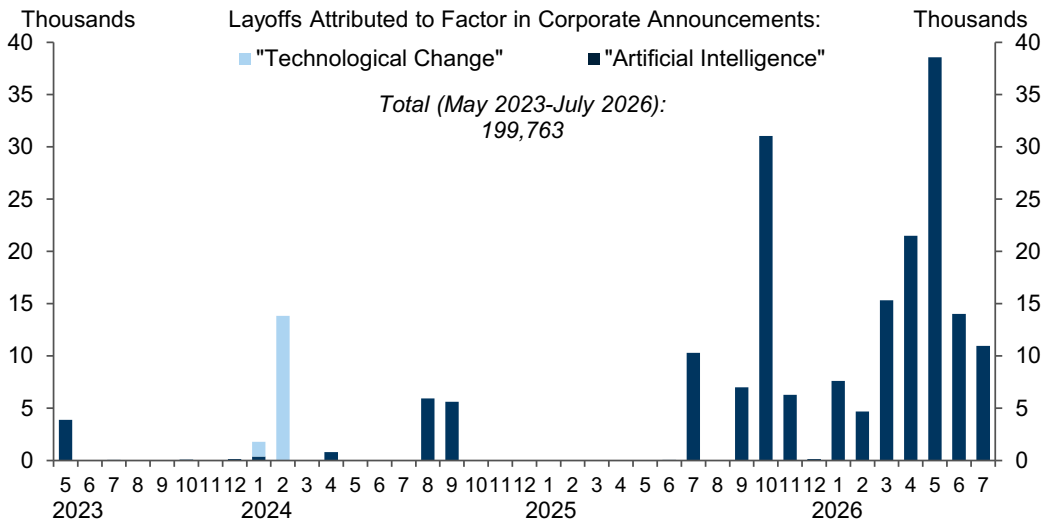
Source: US Bureau of Labor Statistics, IPUMS, Goldman Sachs Global Investment Research

Exhibit 22: We Continue to Observe a Slight Positive Correlation Between AI Adoption and Unemployment Among Younger Workers



Source: IPUMS, US Bureau of Labor Statistics, Census Bureau, Goldman Sachs Global Investment Research

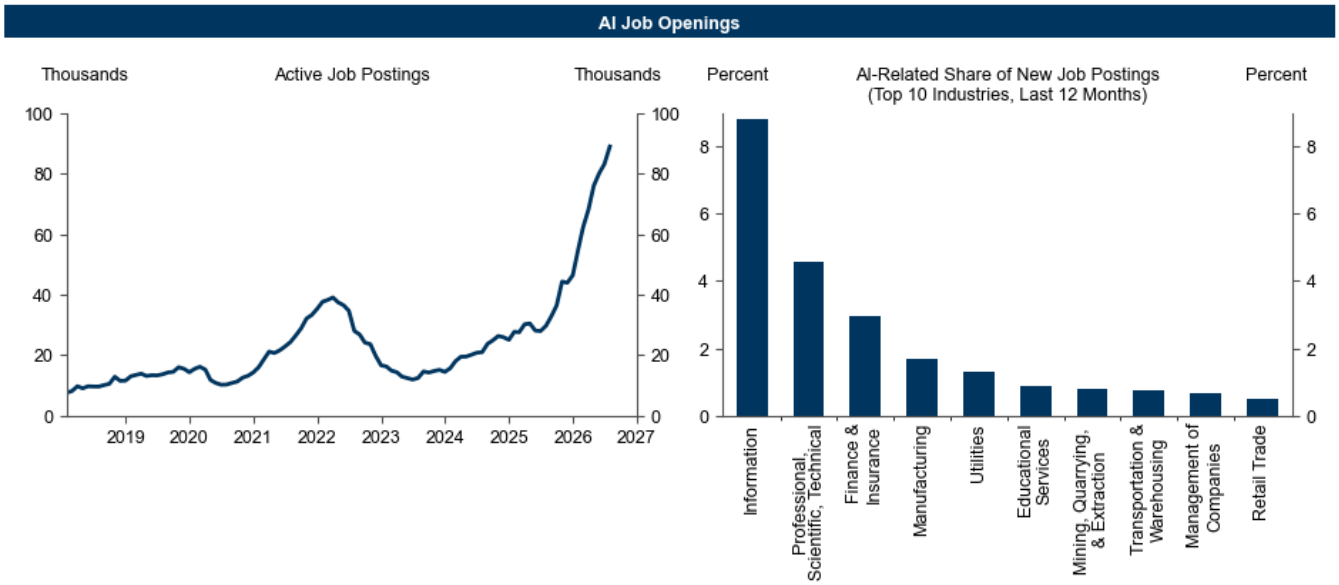
Exhibit 23: AI Was Cited in Layoff Announcements Affecting 11k Employees in July



Source: Challenger, Gray & Christmas, Goldman Sachs Global Investment Research

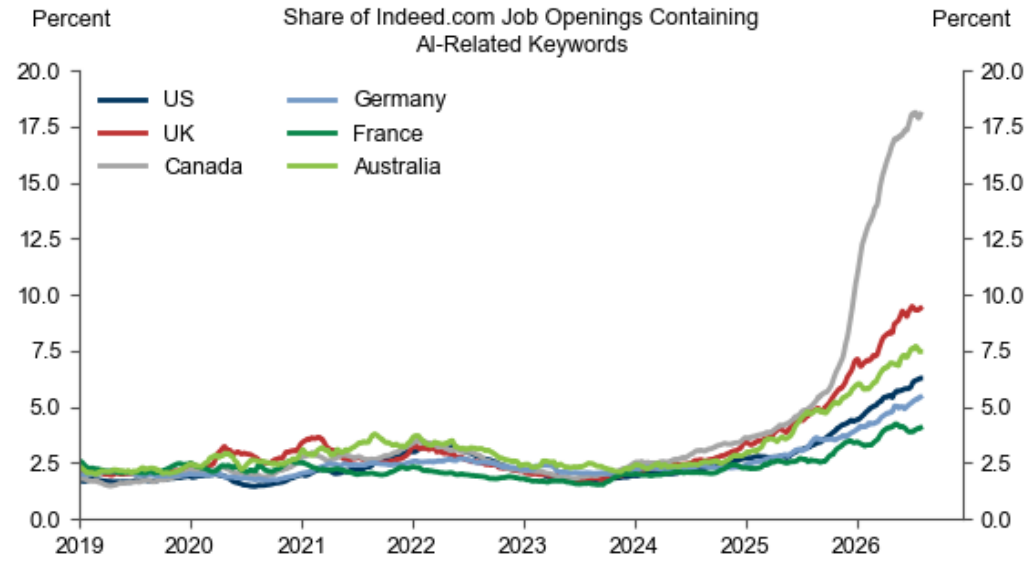
Labor Demand

Exhibit 24: Active AI-Related Job Postings Now Stand at 89k in the US



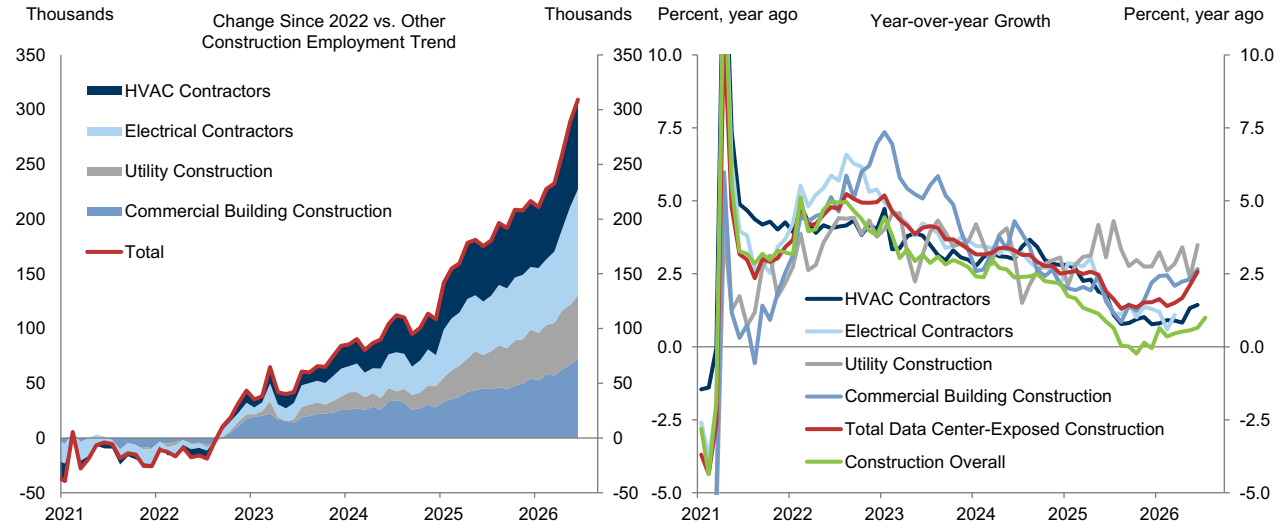
Source: University of Maryland, LinkUp, Goldman Sachs Global Investment Research

Exhibit 25: Share of AI-Related Job Postings Continues to Rise Across All Major DMs



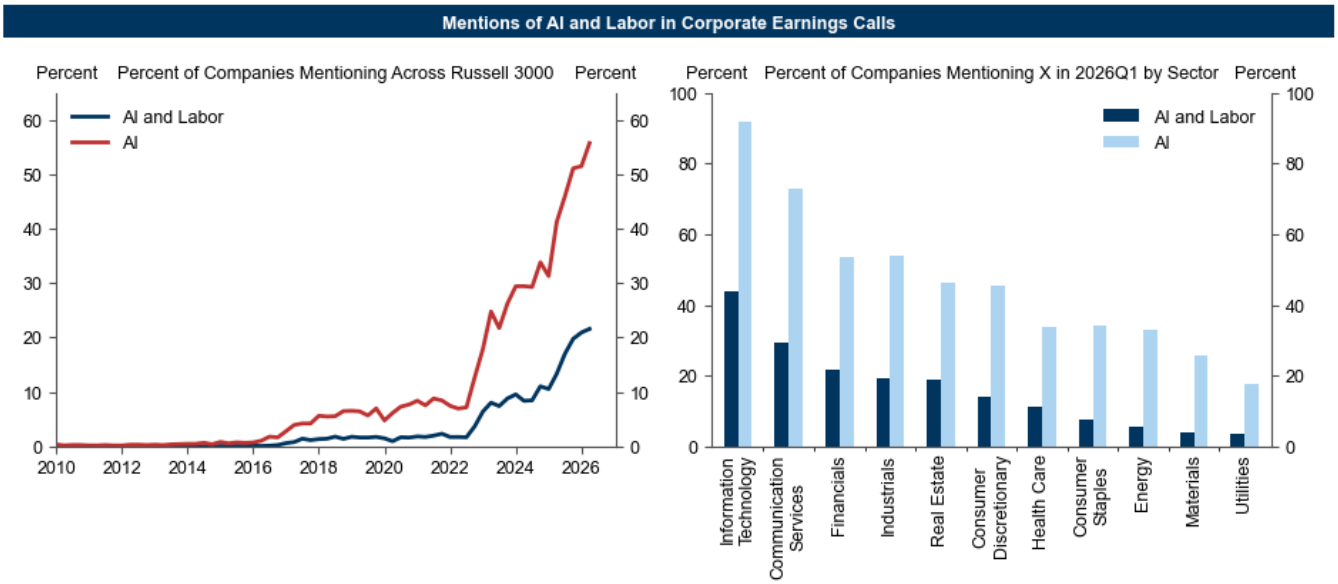
Source: Indeed Hiring Lab, Goldman Sachs Global Investment Research

Exhibit 26: Construction Employment in Data Center-Exposed Categories Has Increased by +309k Since 2022, With a Sharp Acceleration in Recent Months



Source: US Bureau of Labor Statistics, Haver Analytics, Goldman Sachs Global Investment Research

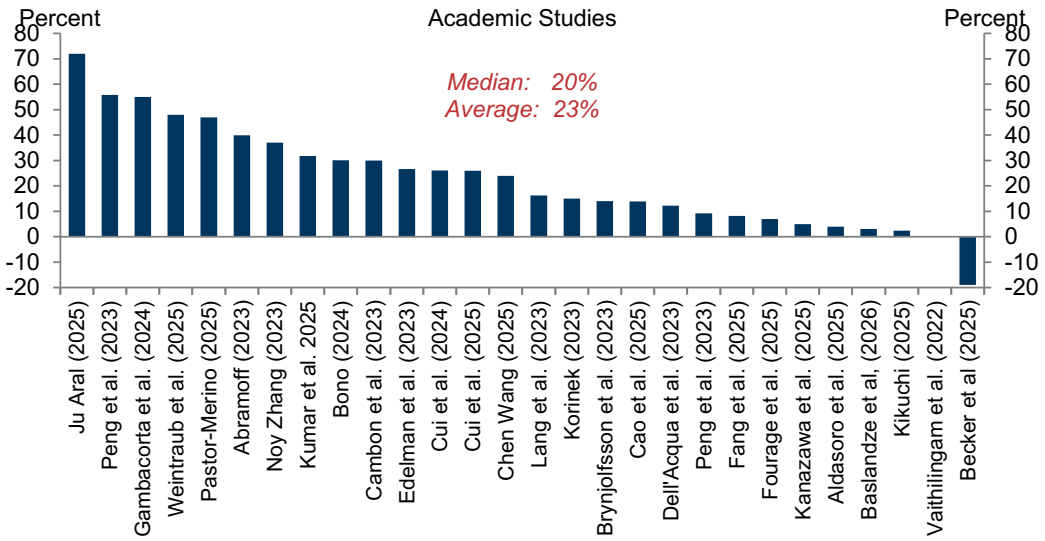
Exhibit 27: 22% of Russell 3000 Companies Mentioned AI and Labor-Related Keywords in 2026Q2 Earnings Calls



Source: GS Data Works, Goldman Sachs Global Investment Research

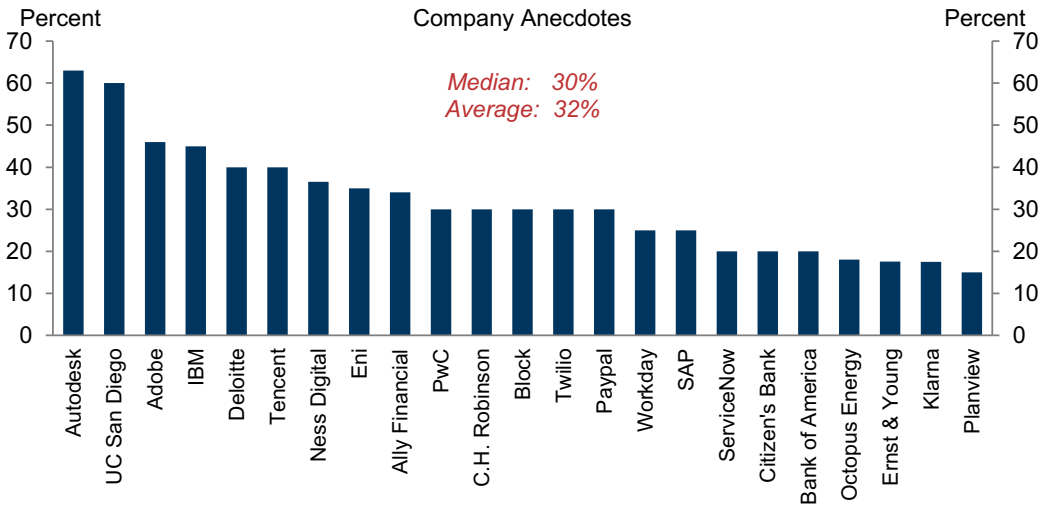
AI's Impact on Productivity

Exhibit 28: Evidence From Academic Studies Suggests AI Adoption Boosts Labor Productivity by Around 23% on Average...



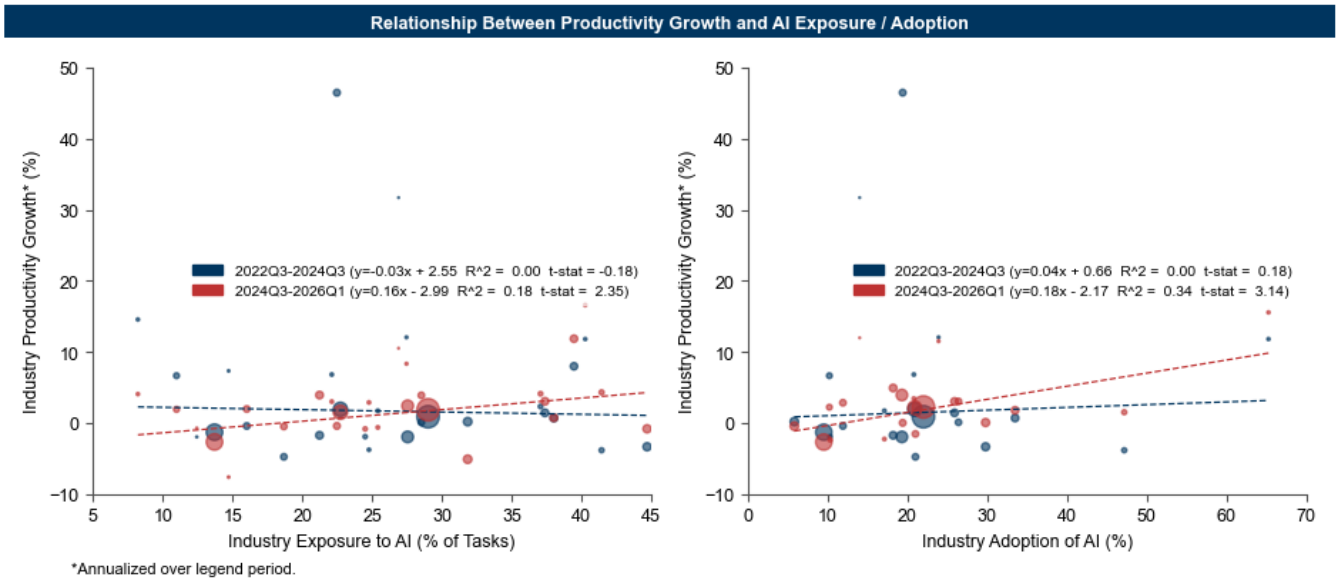
Source: Goldman Sachs Global Investment Research

Exhibit 29: ... And Company Anecdotes Suggest an Average Productivity Boost of 32%



Source: Company data, Data compiled by Goldman Sachs Global Investment Research

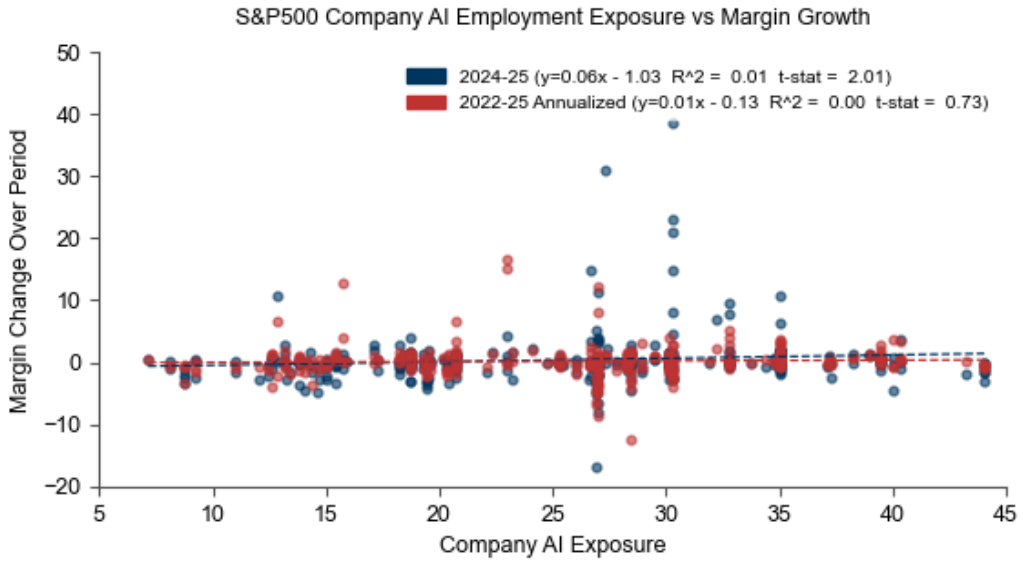
Exhibit 30: Industries with Higher Adoption Rates Continue to Show Slightly Stronger Productivity Growth



Note: Bubble size corresponds to total industry employment.

Source: US Bureau of Labor Statistics, Bureau of Economic Analysis, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 31: No Relationship Between Company Level AI Exposure and Margin Growth



Source: FactSet, Goldman Sachs Global Investment Research

Latest GS Research on Artificial Intelligence

- Global Physical AI: Framing the Forward Progress of Humanoids, August 30
- EM Asia FX/Rates Views: AI Exposure Driving Regional FX Disparity, August 29
- Credit Notes: Expectations for Hyperscaler Debt Issuance: A Top-Down Approach, July 27
- Global Markets Daily: Tracking Shifts in the Market's AI Views, August 25
- Global Economics Comment: Is AI Impacting Global Labor Markets?, August 19
- US Weekly Kickstart: What Q2 earnings reports signaled about the state of corporate AI adoption, August 14
- India: AI Tracker: AI adoption and its impact on India's labour market, August 10
- Global Economics Analyst: Assessing the Current Pace of AI Investment, August 2
- For research from prior quarters, see the Artificial Intelligence page on our publishing portal.

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Disclosure Appendix

Reg AC

We, Sarah Dong and Joseph Briggs, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Disclosures

Regulatory disclosures

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